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Fall 2025 Healthcare Outlook

Drug Manufacturers

TABLE OF CONTENTS

3	Healthcare Overview
9	Drug Spotlight
13	Deals and Financing
16	Comparable Companies Analysis
24	Initiating Coverage
39	Closing Remarks

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SECTOR OVERVIEW: HEALTHCARE

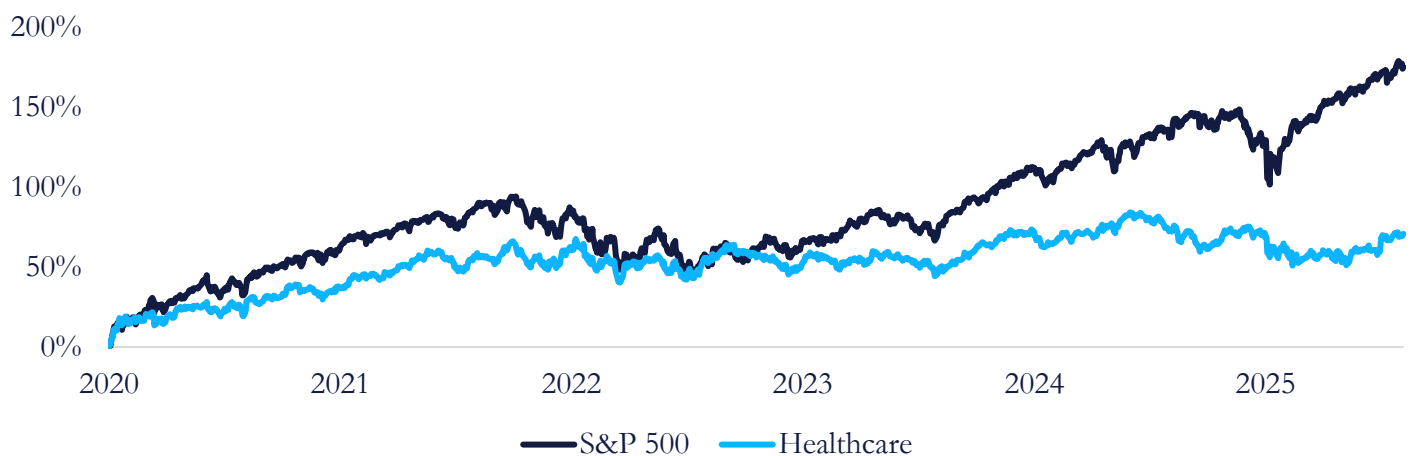
Characteristics

Healthcare, the 5th largest sector in the financial markets, is made up of nearly 6,000 companies with a total market capitalization of \$13.43T, while accounting for 7.95% of the global economy. Defined as the segment dedicated to maintaining and improving the health of populations through medical treatments, disease prevention, health education, and emergency care, healthcare is one of the most diverse sectors by industry characteristics and product offerings. The 11 industries defining the sector are Biotechnology, Diagnostics and Research, Healthcare Facilities, Healthcare Information Technology, Healthcare Services, Healthcare Supply Chain, Managed Care, Medical Devices, Medical Equipment, Medical Supplies, and Pharmaceuticals. The sector is highly counter-cyclical, outperforming in 10 out of the last 11 years when the S&P 500 returned <10%. While the sector boasts an average equity beta of 0.88, some industries skew the mean, such as Healthcare IT and Biotechnology with betas of 1.22 and 1.25, respectively.

Performance

A defensive sector by nature, Healthcare has recently underperformed the S&P 500 by a significant margin. The sector has boasted 1YR, 3YR, and 5YR annualized returns of 2.28%, 4.23%, and 6.25%, over the same period that the index returned 18.43%, 23.19%, and 16.12%, respectively. In 2025, while the broader market has rallied nearly 37% since “Liberation Day” April lows, Healthcare has continued to lag in the current bull market, returning only 9% over the same period. Stagnant deal volume and rising costs are just some of the reasons for the laggard performance. M&A deals were down 1% YoY in H1 2025, while pricing pressures on Medicare-Medicaid giants like United Healthcare (UNH) and diabetes drug manufacturer Novo Nordisk (NVO), put top-down pressure on the sector. Another major factor straining growth in the sector is labor shortages. The number of Americans aged 65 and older is expected to grow 47% to over 80 million people by 2050, while the labor deficit in the sector is expected to cross 100,000 workers before the end of the decade. Studies have supported this sentiment, as 61% of technicians and nurses have reported negative performance due to staffing shortages, and 71% feel they are not properly compensated. All told, the result is lower quality of care for patients and increased pressure on the market to supply labor. That said, zooming out over a longer period shows a different story. Since 1989, Healthcare has produced annualized returns of 11.26%, when the broader market returned just 10.62%. But for the sector to maintain that lead, it must steal the innovative spotlight away from tech and other high growth industries. FDA approvals for GLP-1s and biotherapeutics have driven top line growth, but heavy reliance on these products to drive sectoral growth has investors worried about future performance. Looking ahead, the implementation of AI-enabled productivity tools and telehealth products will be a significant indicator of innovation and future growth sentiment.

Total Return Since April 2020



DRUG MANUFACTURERS OVERVIEW

Pharmaceuticals

Pharmaceuticals is the sector of the healthcare industry centered on the development, production, and distribution of medication and vaccinations. The market is made up of prescription drugs, dominated by original products, the first version of a drug that is patented thus no identical version is offered, and over the counter medicine. Innovators of original products enjoy strong pricing power as generic manufacturers cannot replicate patented formulas. However, once patents expire, on average about 20 years, then the drug may be manufactured by anyone, leading to generic duplicates typically sold at a lower price point due to lack of investment on research and development (R&D). Original producers may experience a patent cliff following expiration of IPO rights causing branded drug revenues to be slashed between 70-80%. The market is highly concentrated with the top 10 companies collectively holding about 50% of the market share. This concentration is mainly due to high barriers of entry including the need for highly specialized personnel and substantial investment required in R&D. On average, pharmaceutical companies will spend 20% of revenues on R&D. The market is driven by growing prevalence of chronic diseases, general increase in number of patients following growing population, increased reliance on medication, and high healthcare expenditures. The sector is also growing due to improving healthcare access in emerging markets such as Latin America and Asia, expanding its potential customer bases. The projected revenue in the market is US\$1.21T in 2025 with oncology being the largest market projecting market value of US\$217.13B in 2025. The market is continuing to grow, representing a CAGR of 4.73% from 2025 to 2030 resulting in global market volume of US\$1.53T by 2030.

Drug Manufacturers

Drug Manufacturers are a subset of pharmaceuticals specializing in producing drugs and bringing them to market. Manufacturers design, develop and produce chemical products used in the diagnosis and treatment of diseases, disabilities, or other medical conditions. The market is comprised of both original and generic drugs. Generic drug manufacturers produce lower-cost versions of brand name drugs as they don't have to invest as heavily in R&D. Generic manufacturers drive innovation in branded drug production to stay ahead of competition. The development of drugs is incredibly expensive requiring an average of 15 years and costing between \$1B and \$2B per product. Commercially, the most successful "blockbuster" drugs generate over \$1B USD per year and are privy to an average patent period of 20 years; thus, while high barriers such as risk of the drug failure or meeting regulatory requirements, when successful, original drug manufacturing is proven to be profitable. Because of these high barriers only multinational pharmaceutical firms can develop original drugs leading to high market concentration.

Top 10 Pharmaceutical Markets

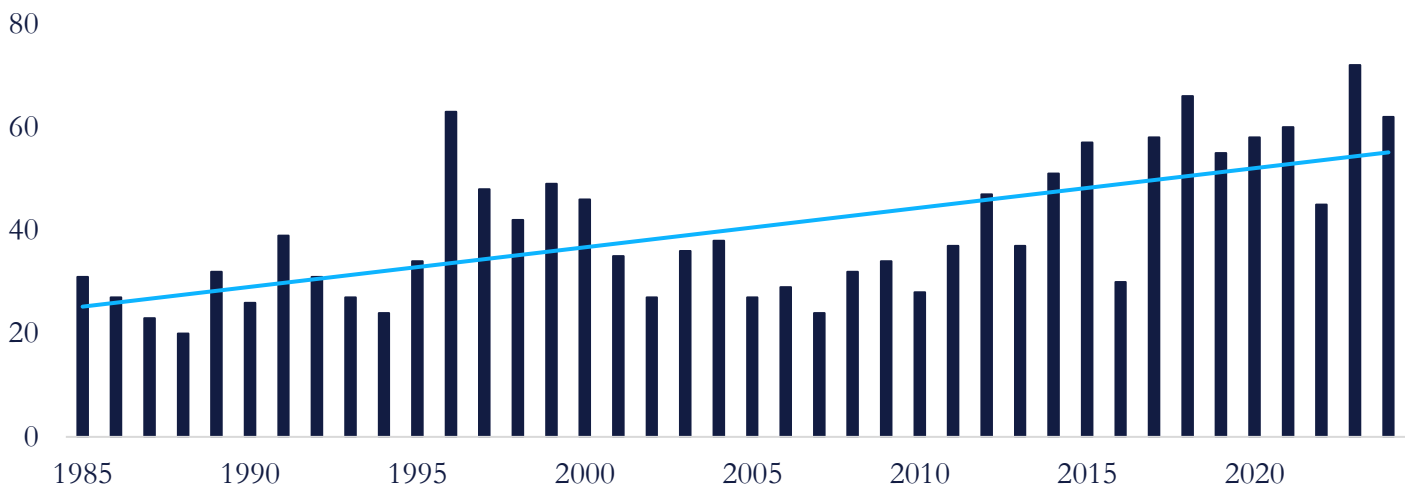


REGULATORY ENVIRONMENT

Federal Development

Drug manufacturers are navigating a challenging federal environment shaped by pricing reforms and FDA oversight. The Inflation Reduction Act (IRA) continues to advance with Medicare price negotiations underway for 15 Part D drugs (optional prescription drug coverage) in the second negotiation cycle, adding to 10 previously selected drugs. These negotiated prices are scheduled to take effect in 2026 and 2027, directly pressuring margins in high-cost therapeutic areas. The FDA has also approved 30 novel drugs (drugs with new molecular entities or biologics not previously approved) through September 2025, maintaining a steady expectation of innovation but with heightened emphasis on quality compliance and manufacturing standards. At the executive level, federal agencies including CMS, FDA, and FTC are coordinating on policies to address affordability, signaling ongoing scrutiny of exclusivity protections and competitive practices.

New Drugs Approved by The FDA



Trends and Drivers

The pharmaceutical industry is at a crossroad of development/innovation and pricing pressure. Recent approval trends highlight continued pipeline strength, particularly in oncology and specialty therapeutics, but federal pricing reforms are compressing expected revenue from blockbuster launches. Biosimilars and generics are gaining momentum as the FDA prioritizes pathways to increase market competition, eroding returns on legacy drug franchises. AI-driven efficiencies are beginning to shorten trial timelines and reduce R&D costs, but development expenses remain elevated, with global pharmaceutical R&D already exceeding \$270B and projected to continue rising through the decade. Supply chain fragility and ongoing drug shortages have reinforced federal interest in reshoring active pharmaceutical ingredient (API) production, compelling manufacturers to adapt their operating models to maintain reliability and resilience.

Statewide Challenges

At the state level, drug affordability has become a central policy focus. As of April 2025, twelve states had enacted Prescription Drug Affordability Boards (PDABs), with Colorado, Maryland, Minnesota, and Washington empowered to set price ceilings on select medicines. Implementation is progressing unevenly, but momentum is building—particularly in Maryland, where lawmakers have advanced legislation urging active use of upper payment limits to cap costs. Other states are pursuing price transparency laws, pharmacy benefit manager regulation, and rebate mandates, creating a fragmented patchwork that forces manufacturers to track compliance across multiple jurisdictions. In parallel, states such as Texas are courting manufacturing investments through tax relief and subsidies, showing how local policy can simultaneously constrain pricing while opening opportunities for domestic production.

TARIFF IMPACTS

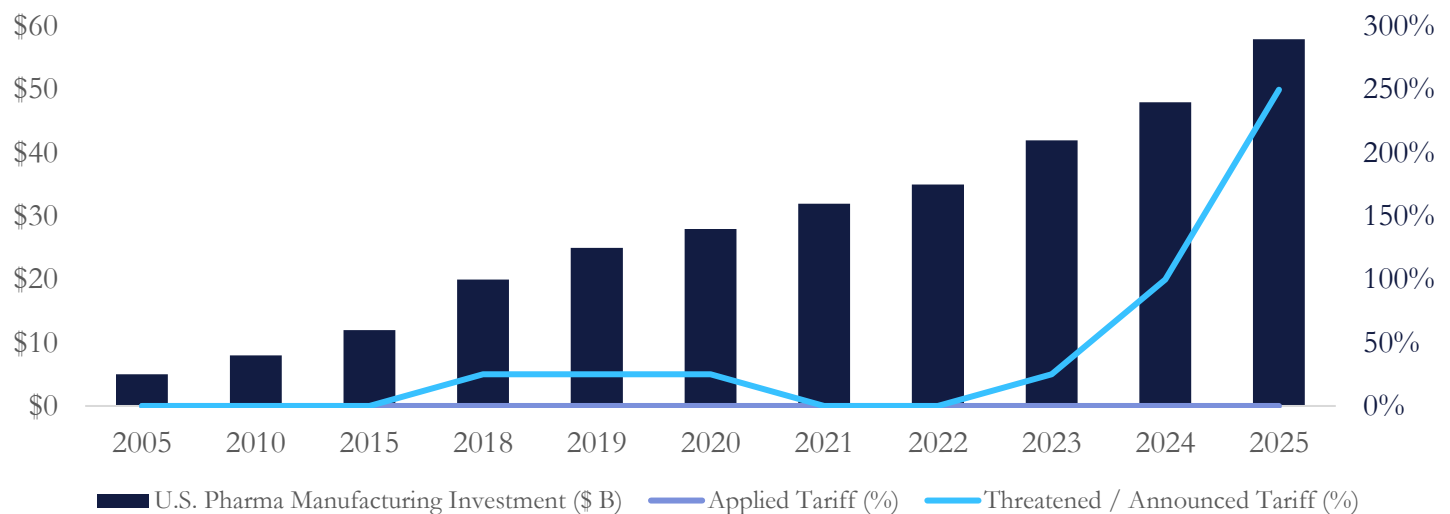
Federal Trade Environment

Drug manufacturers operate within a global supply chain where tariffs, import restrictions, and trade policy decisions directly shape cost structures and competitiveness. The United States imports a large share of its active pharmaceutical ingredients (APIs) and finished drugs, exposing producers to tariff shifts, foreign-exchange risk, and evolving trade negotiations. In September 2025, the White House announced that beginning October 1 the U.S. would impose a 100% tariff on imported branded or patented pharmaceutical products unless the manufacturer began construction of a U.S.-based plant, while generic drugs were excluded. The policy included exemptions under trade frameworks such as the U.S.–EU agreement, which capped tariffs at ~15% for certain countries under negotiated soft-landing terms. As of October 2025, enforcement remained fluid—major firms like Pfizer secured temporary exemptions through commitments to expand domestic manufacturing. Internationally, the measure reflected a broader shift toward “friend-shoring,” with U.S. policy favoring supply-chain resilience over cost efficiency. Initiatives like the U.S.–India iCET and EU framework deals illustrated how trade and industrial policy are converging around pharmaceutical security and allied production capacity.

Impact on Manufacturing and Cost Structure

Tariffs fundamentally alter the pharmaceutical industry’s economics through input-cost pressure and manufacturing strategy changes. Many U.S. manufacturers rely on APIs, precursors, and packaging materials from lower-cost regions, meaning a 100% tariff on branded drugs or key intermediates would sharply raise costs and compress margins, particularly for smaller firms lacking pricing flexibility. In response, companies are accelerating U.S. manufacturing expansion. AstraZeneca, for example, pledged a \$50 billion domestic investment by 2030 to mitigate tariff exposure. Firms are also adopting dual-sourcing strategies, diversifying toward hubs like South Korea, Singapore, and Ireland to hedge against geopolitical and trade risk. Meanwhile, contract manufacturers and API suppliers are renegotiating long-term pricing agreements to offset anticipated volatility in raw material costs. However, the capital-goods segment faces similar strain, as bioreactors, filtration systems, and other specialized equipment may face new duties, raise facility CapEx, and slow buildouts. Equipment producers in Europe and Asia are pursuing tariff-relief deals tied to U.S. investment commitments, underscoring how the new tariff regime is reshaping both the pharmaceutical and manufacturing ecosystems. These shifts are evident in company financials, with R&D spending and CapEx rising in tandem for the first time in over a decade. As a result, firms are reevaluating supplier contracts and logistics networks to prioritize reliability and regulatory alignment over short-term cost savings, signaling a broader move toward regionalized production and long-term resilience.

U.S. Tariff Exposure vs. Manufacturing Investment (2005–2025)



HEADWINDS

Drug Patent Expiry

The pharmaceutical industry will face significant volatility through the rest of the decade due to the large quantity of drugs losing their patent protection. Only 4% of global drug sales (as of July 2025) will have patent protection in 2030, compared to 12% in 2022 and 6% in 2024. Without patent protection, competition will increase, creating price pressures for drug manufacturers who may face weakened margins as a result. It's estimated that the US drug market will lose over \$230B between 2025 and 2030 due to loss of patent exclusivity. One of the key drug verticals which will be particularly hard hit is Oncology, as blockbuster drugs Keytruda and Darzalex will lose US exclusivity by 2029. While both are forecasted to remain in the top 10 of domestic drug sales in 2030, their revenues are expected to decline due to increased competition. Big pharma companies are already preparing for potential lost revenues by bolstering their R&D pipelines both organically and via M&A.

Patent Expiries for Top Selling Drugs

Drug	Manufacturer	2024 Revenue (\$Bn)	Patent Expiry Year
Keytruda	Merck & Co., Inc.	\$29.5B	2028
Ozempic	Novo Nordisk A/S	\$17.5B	2033
Dupixent	Sanofi & Regeneron	\$14.1B	2031
Eliquis	Pfizer & BristolMyersSquibb	\$13.4B	2028
Biktarvy	Gilead	\$13.4B	2035
Skyrizi	Abbvie Inc.	\$11.7B	2033
Darzalex	Johnson & Johnson	\$11.7B	2029
Mounjaro	Eli Lilly & Company	\$11.5B	2026

Supply Chain Challenges

As the United States' demand for drugs has reached 131 million doses daily, there is an increased toll placed on drug manufacturers, many of whom have international supply chains. US manufacturers have offshored much of their drug development, causing several issues, such as lessened FDA inspections of labs. This lessened FDA oversight increases the risk of sanitation issues in labs. The Trump administration also imposed a 100% tariff on branded or patented pharmaceutical products, harming many drugmakers' profits, as they will have to build American manufacturing plants to profit in the US market. As a result, some pharma companies may look to raise their market prices for products to pay off some of their financing costs from building domestic facilities.

Pricing Pressures and Nuanced Payer Dynamics

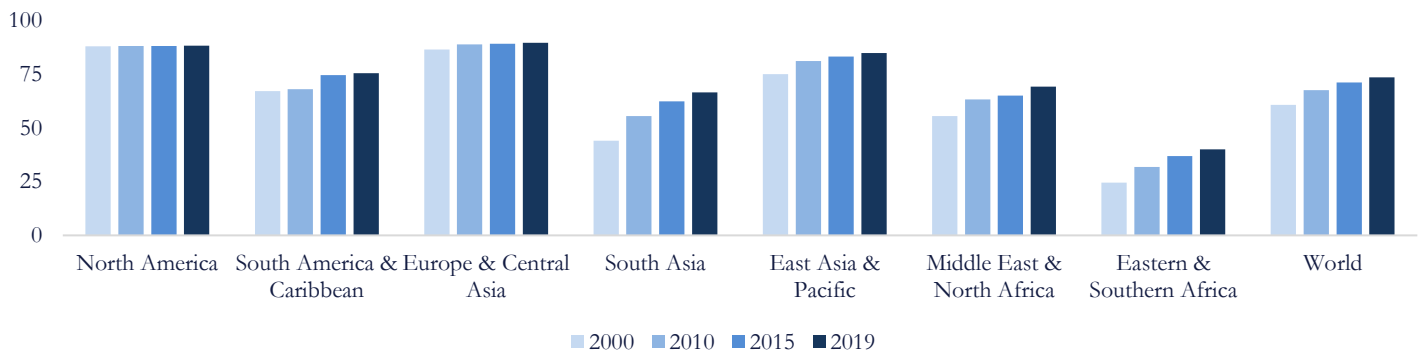
The pharmaceutical industry is facing increased price compressions, as insurers and governments have increased their price controls, and people are pushing for direct-to-consumer pricing models to become the norm for prescription drugs. In a time when pharma manufacturers are facing increased pressure to nearshore their manufacturing, there is increased attention being paid to drug prices, with reforms being signed in May 2025 to cheapen American drug prices, making them be in line with other developed nations. Companies are looking to be agile in their development of drugs and their pricing models, with some looking to remodel existing drugs to cut costs. Additionally, more pharma companies, such as AstraZeneca, are turning their investments toward the development of biologic drugs, which have longer exclusivity periods upon their release before facing competition. Ideally, this will increase profits for drug makers, who have longer periods without facing pricing competition for biologic drugs than within other classes.

TAILWINDS

Aging Demographics & Pharma Utilization

The global aging population represents a powerful structural tailwind for pharmaceutical manufacturers. Since 1974, the US population over 65 years old has risen from 5.5% to 10.3%, reflecting the natural shift toward older age-structure. Individuals over the age of 65 are at a heightened risk of developing non-communicable diseases (NCDs): cardiovascular diseases, cancers, respiratory diseases, diabetes, arthritis, and osteoporosis, among others. Projections by the Department of Economic and Social Affairs estimate that the global number of seniors will double from ~760 million in 2021 to over 1.6 billion by 2050. In the US, 89% of seniors reported taking a prescription drug within the last 12 months. Furthermore, the percentage of seniors taking 5+ prescription drugs per month rose from 33.3% in 2004 to 43% in 2020. Together, these demographic and utilization trends imply a growing patient pool, longer treatment durations, and greater polypharmacy—all of which bolster demand for pharmaceuticals.

NCDs as a % of Total Deaths by Geography and Year



NCD Prevalence

NCD diagnoses have risen sharply in the past 30 years. From 1990 to 2016, cardiovascular disease diagnoses increased by 15%, and chronic respiratory diseases rose by 40%. Generic drug manufacturers have responded to the increase in prescription demand by increasing production accordingly.

The World Health Organization attributes growing NCD rates to higher longevity, sedentary lifestyles, diets high in salt/fat/sugar, and alcohol/tobacco consumption. These factors result in raised blood pressure (hypertension), elevated blood glucose (diabetes), abnormal lipids (cholesterol), and obesity. Because humans are living longer and being diagnosed earlier in life, prevalence (Incidence X Duration) is greatly heightened. The primary solution for these chronic illnesses is pharmaceuticals, creating more demand.

Patent Expiry Volumes Bolster Generic Drug Manufacturing

The 'patent cliff' is no longer approaching, but here. Pharma patents generally maintain a 20-year lifespan. Between 2024 and 2030, over \$180 billion in branded drug patents are set to expire, opening the market for generic and biosimilar manufacturers to copy and lower prices in open market competition. Generic firms with equivalent products have historically stolen 50-90% of market share within the first year. Notably, in 2023, Humira's adalimumab drug—once the world's top selling drug with over \$21B in annual sales—expired, opening competition with projections to save the pharma industry \$19B by 2028. Upcoming expirations include Eliquis, Keytruda, and Ozempic. Generic equivalents to these drugs will release tens of billions in annual branded revenue to the competitive generic and biosimilar segments. Generic firms like Teva, Viatris, and Sandoz are poised to seize market share via quick entry and cost-efficient production. Generic drug production is projected to grow \$580 billion per year, growing at 5% CAGR due to patent expiry.

DRUG SPOTLIGHT: GLP-1S

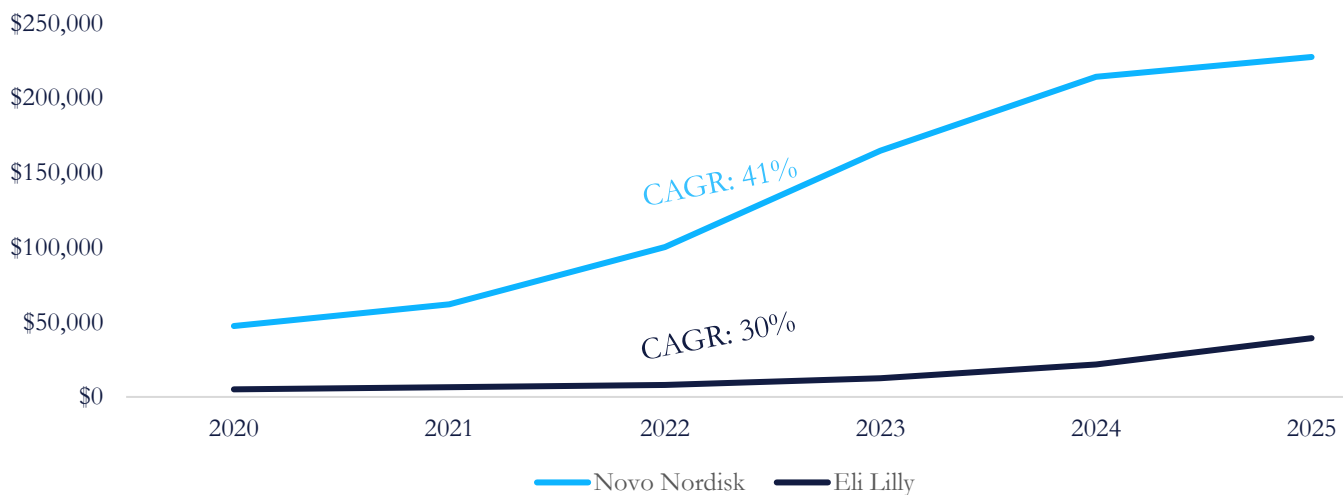
Medical Overview

GLP-1s are becoming an increasingly important part of the US healthcare industry, and thus the economy. Predominantly used to date in weight loss, further implications of the drug are continuously being looked into. GLP-1s are currently being studied for their effectiveness in treating and preventing an assortment of medical issues, such as heart attacks, strokes, and cardiovascular disease, in addition to alcoholism. The way that GLP-1 drugs typically work is by triggering an insulin release from the pancreas when blood sugar is high, which allows your body to use the food you eat for energy, and lower your blood sugar. This also slows the stomach digestion process, making patients more satiated for a longer period after they eat due to the stomach being full for extended periods of time. Emerging evidence from trials now positions GLP-1 receptor agonists (GLP-1 RAs) far beyond their original metabolic niche. GLP-1 RA drugs have been shown to reduce major adverse cardiovascular events by roughly 12–14%, lower all-cause mortality by ~12%, and improve composite kidney outcomes by ~17% in some analyses. Importantly, the mechanisms appear pleiotropic, lowering blood sugar and slowing gastric emptying in addition to acting on vascular and renal tissues, attenuating albuminuria, and reducing glomerular filtration decline, showing full-circle benefits from their consumption. In short, GLP-1s are migrating from “glycemic/weight-loss” agents toward true multi-system therapeutics, a shift that merits the hype which has been placed around the drug class.

Market Trends

Eli Lilly and Novo Nordisk have notably led trials to continuously test the benefits that GLP-1 agonists can provide for users, in addition to releasing Ozempic and Wegovy, which have done quite well in the prescription market. Both factors have in part allowed the two pharmaceutical giants to outperform much of the market – of the stock market’s “Magnificent Seven”, only Nvidia has had a 3-month, 10% out of the money skew lower than Eli Lilly and Novo Nordisk, as investors have been consistently betting on continued upside for the two companies. Analysts forecast GLP-1 drugs to generate as much as \$100B in revenue by 2030, which may continue to grow with increased benefits being proven from taking GLP-1 drugs. This has huge potential benefits for the economy, as adoption of GLP-1 drugs could boost US GDP by 0.4% if 30 million Americans take the drug, and by 1% if 100 million Americans are prescribed. Many companies are continuing to look to cash in on the GLP-1 market; Pfizer (PFE) recently acquired Metsera at a value of \$10 billion to gain control of their GLP-1 drugs. If successful, PFE could capture a significant portion of the GLP-1 market, estimated to be worth \$100B-\$140B by 2030. Although GLP-1 drugs to date are all taken by injection, trials are underway by many pharma companies to create orally consumed GLP-1s. As adoption accelerates of GLP-1s, many industries will be forced to adapt due to the changing lifestyle and eating habits of patients, positioning GLP-1 drugs as a lasting driver of growth.

Eli Lilly and Novo Nordisk GLP-1 Revenues (\$M USD)

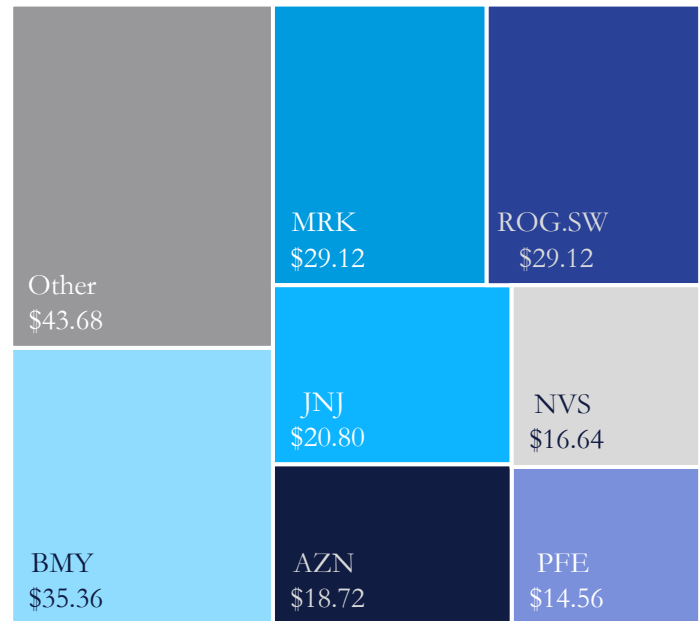


DRUG SPOTLIGHT: ONCOLOGY

Medical Overview

Oncology is the field of medicine focused on the diagnosis, treatment, and prevention of cancer. Oncology drugs target various forms of the disease, which involve abnormal cell. These drugs fall into several main categories: chemotherapy, targeted therapies, immunotherapy, and hormone therapy. Chemotherapy works by directly killing cancer cells through methods like damaging their DNA, disrupting cell division, or interfering with specific stages of their growth cycle. Targeted therapies block molecular signals that promote cancer growth and can treat both solid tumors and blood cancers through systemic action that reaches cancer cells throughout the body, unlike localized treatments such as surgery or radiation. Immunotherapy strengthens the body's immune system to fight cancer, using approaches such as monoclonal antibodies that mimic natural immune responses, checkpoint inhibitors that remove barriers preventing immune cells from attacking cancer, and cancer vaccines that train the immune system to recognize cancer-specific proteins. Lastly, hormone therapies are used to block or alter hormones that drive the growth of certain cancers, including breast, prostate, and ovarian cancers.

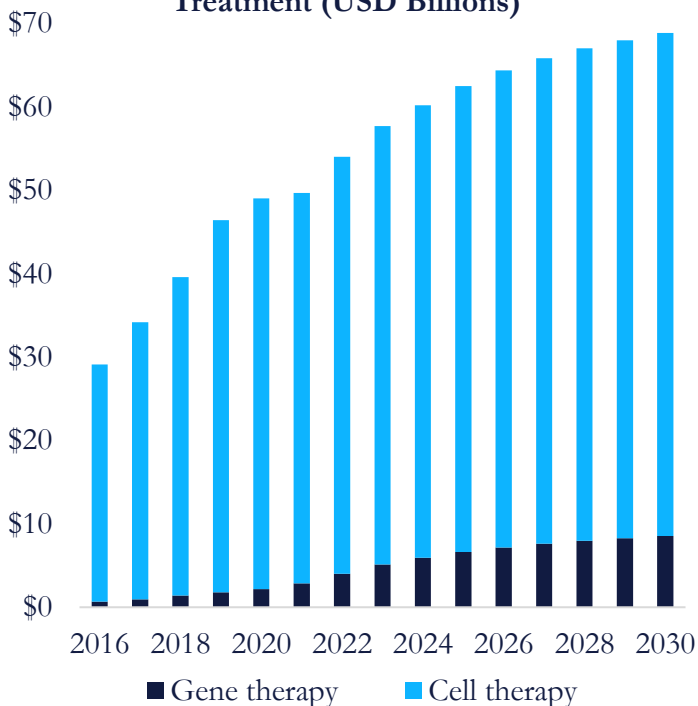
Global Oncology Market Shares (2022, USD Billion)



Market Trends

The global oncology market is projected to grow from \$196.4 billion in 2023 to \$401.4 billion by 2029, reflecting a 12.7% CAGR. In 2024, oncology drugs generated roughly \$201.75 billion in revenue, the highest across all pharmaceutical segments. Growth is in part driven by rising cancer incidence, projected to increase from 20 million cases in 2022 to over 35 million by 2050, due to aging populations and greater exposure to risk factors such as tobacco use, alcohol consumption, obesity, and pollution. While access to advanced treatments remains concentrated in high-income nations, emerging markets like India, Brazil, and South Africa are improving access. R&D in oncology continues to surge, with cell and gene therapies, antibody-drug conjugates, and multi-specific antibodies now accounting for ~35% of all clinical trials. Between 2020 and 2024, an average of 26 novel active substances launched annually, up from 16 in the prior five years, driven by rapid technological advances and the FDA's accelerated approval programs, which have enabled more than 200 cancer drug approvals in the past three decades. The field continues to shift from chemotherapy toward targeted and immunotherapies, emphasizing personalized, molecularly guided treatments.

Next Generation Therapy by Type of Treatment (USD Billions)

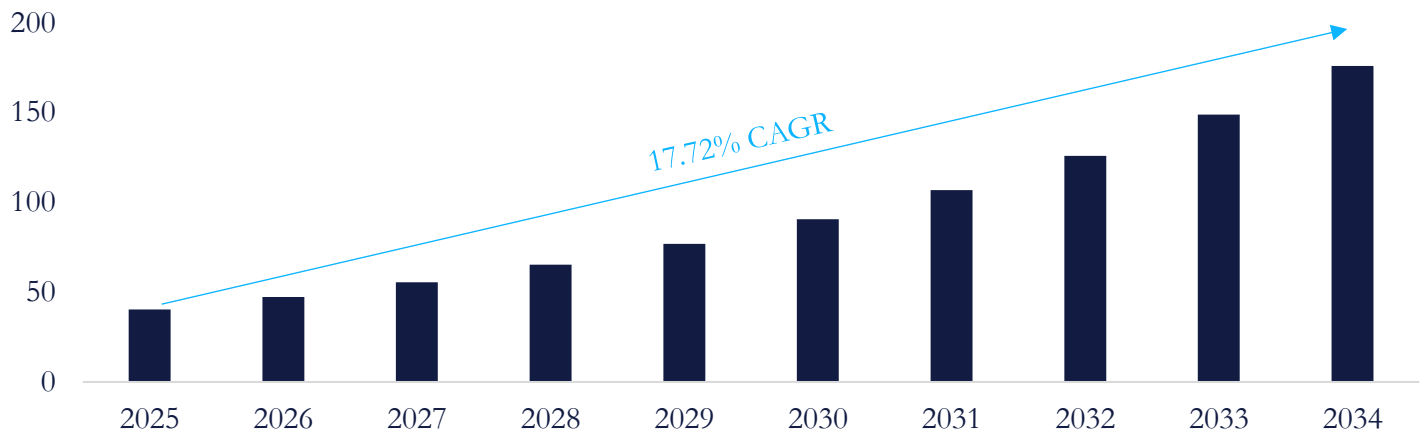


DRUG SPOTLIGHT: COPYCAT DRUGS

Overview

Copycat drugs are lower-cost alternatives to biologic drugs that treat chronic diseases. Biologic drugs are made from living cells and cost more to produce and eventually purchase. Copycats typically are more complex to produce than the biologic they mimic, and are used to treat conditions like cancer, diabetes, and autoimmune diseases. Copycats are often created by compounding pharmacies after the FDA adds a drug to its shortage list; at this time, compounding pharmacies can develop their own versions of the drug so patients can continue to access medications. Common examples of copycat drugs are Herceptin for breast cancer, Lantus for insulin, and Humira for arthritis. There's recently been an increase in compounded copycats, which has allowed more drug producers to take advantage of growing niches in the market, such as the weight-loss sector. Hims & Hers and Ro has entered the GLP-1 market with compounded versions of existing drugs like Wegovy and Zepbound, enabling them to profit on the hype in this market without using the same chemical compound that Novo Nordisk or Eli Lilly use for their drugs. Copycats make up about 90% of prescriptions in the US, yet account for a small fraction of total drug costs, as more expensive biologic medications account for 51% of drug spending.

Copycat Drug Market Projection (in Billions USD)



Changes to Copycat Approval Process

In a wave of amendments to various FDA regulations, the FDA recently announced they'd be relaxing rules for approving low-cost versions of expensive drugs, to give consumers more access to cheaper alternatives. This directly caters to copycats, which will allow for cheaper trial periods for drug approval. This could also potentially further decrease the market prices for many biosimilars, as the time-to-market for these drugs may go down, while the approval rate from trials will likely go up. While this may raise concerns that copycats may not be sufficiently studied before being released for prescribed use, this will ensure that consumers can continue to access drugs when they're in a shortage. This also allows for more competition in the copycat drug world due to cheapened production of biosimilars, which could potentially continue to decrease the cost to purchase.

Copycat Drug Market Outlook

Copycat drugs are projected to continue to grow in market size through the next decade at a CAGR of 17.78%, from a \$40.4B market as of 2025 to a \$176B market by the end of 2034. This is for several reasons, as some drugs continue to rise in their costs while consumers look to be more cost-effective, in addition to an impending patent cliff being faced by much of the pharmaceutical industry. Monoclonal antibodies and oncology are currently the largest two verticals of the copycat industry, having a revenue share of approximately 41% and 25%, respectively. While copycats are relatively cheap to produce, they still require roughly \$100M-\$300M and 7-8 years to produce. As the market develops, producers may find success in a specific niche of the copycat world and continue to produce similar drugs as they continue to drive profits.

AI FOR PHARMA

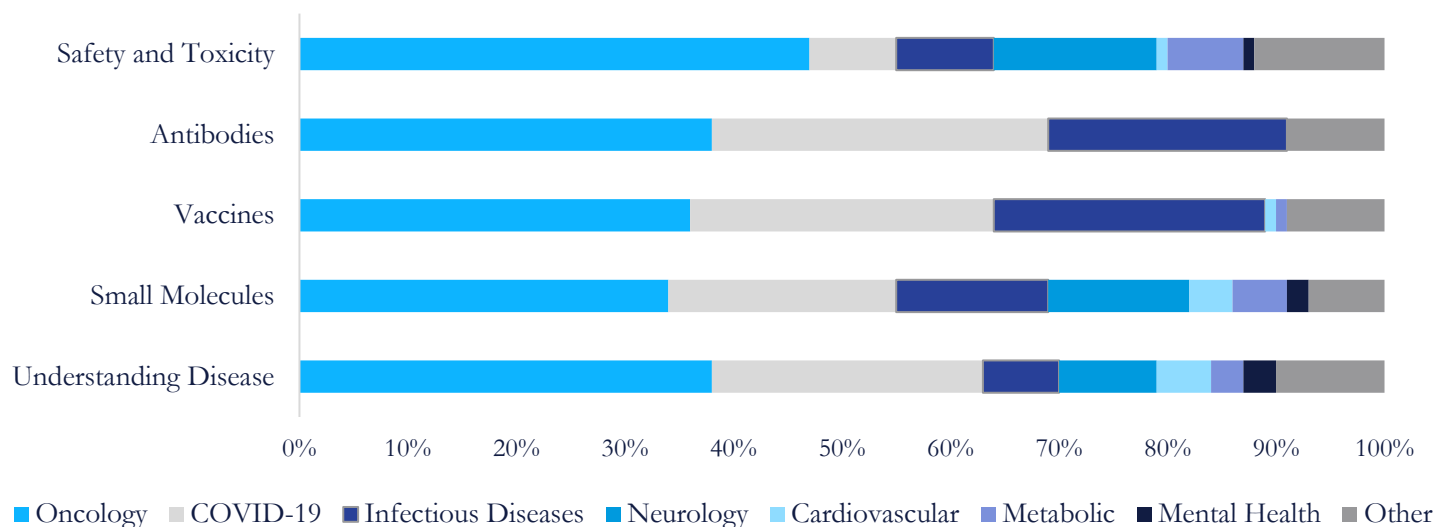
Accelerate R&D

AI is poised to greatly improve pharmaceutical R&D by cutting time and costs by an estimated 25% to 50% before the preclinical stage, a meaningful impact given that R&D is the industry's largest expenditure. By analyzing large datasets and biological information, AI can quickly identify promising drug candidates and eliminate nonviable ones, allowing early assessments to shift from laboratory testing to computer modeling. In clinical trials, AI enhances patient selection and optimizes study design, further improving efficiency. The AI in pharmaceuticals market is expected to surge from \$3.24 billion in 2024 to \$65.83 billion by 2033, and by 2025 AI is projected to drive 30% of new drug discoveries.

Challenges

Although broader concerns exist about a potential U.S. tech bubble driven by rapid AI growth, AI in pharma is relatively insulated because its value comes from concrete efficiency gains and cost reductions in early R&D. While this technology continues to streamline drug discovery and derisk development, the sector will increasingly rely on them, and clinical trials will proceed regardless of broader market cycles. Remaining risks include data privacy and security, particularly as models require sensitive patient and genomic data. Additionally bias, equity, algorithmic brittleness, and hallucinations as well as evolving regulatory landscape pose potential challenges to this emerging sector.

Publications on AI in Drug Discovery by Therapeutic Area



Highlighting Top AI Companies

Nvidia's BioNeMo enables generative AI-driven drug discovery by allowing researchers to build, train, and deploy large biomolecular models for protein structure prediction, molecule generation, and property modeling. In June 2025, Nvidia expanded this work through partnerships with Novo Nordisk and DCAI to develop customized AI agents for early-stage research and clinical development. Microsoft has also built a strong presence in AI-enabled drug discovery, partnering with Novo Nordisk on predictive cardiovascular risk models, creating TamGen, a chemical language model for target-specific compound design used in tuberculosis research, and developing BioEmu, a generative deep learning system that simulates protein dynamics in hours rather than years. Google, whose DeepMind team received the 2024 Nobel Prize in Chemistry for AlphaFold's breakthrough in protein structure prediction, recently released a single-cell analysis model that identified a new cancer pathway capable of converting immunologically "cold" tumors which are invisible to the body's immune system into "hot" ones, showing how AI can both design novel therapeutics and uncover new biological mechanisms. Look for drug manufacturers to continue to invest in AI through the rest of the decade.

M&A ACTIVITY

Deal Flow Commentary

Several industry giants have recently announced multi-billion-dollar acquisitions in Q3 of 2025. Deal activity this year has moved away from oncology and toward investing in metabolic and cardio-metabolic R&D pipelines, particularly for companies with numerous drugs in later-stages of development. Big Pharma companies are increasingly allocating funding toward building domestic infrastructure as a means of evading high tariffs for their drug supply chains, which continues to drive domestic M&A. Biopharma has seen increased M&A activity, as the YTD volume of biopharma M&A in dollar value has already eclipsed all of 2024.

Target Profile:

Avidity is a biotech company which develops antibody platforms to engineer treatments targeting underlying genetic drivers of diseases by using RNA therapeutics. They target genetic neuromuscular diseases by using their RNA therapeutics platform to generate antibodies which can treat these rare diseases.

Acquirer Profile:

Novartis specializes in the R&D and manufacturing of pharmaceutical medicines, both in prescriptions and biosimilars. They specialize in several therapeutic areas, such as cardiovascular, metabolic, immunology, neuroscience, and oncology. In acquiring Avidity, Novartis invests in building out their RNA therapeutics sector to allow them to treat neuromuscular diseases.

Deal Amount: \$12B



Acquisition of



October 2025

Target Profile:

Orbital Therapeutics is a biopharmaceutical company which is developing cell therapy treatments to reprogram one's immune system to fight cancer and other serious diseases at their source. Their goal is to create customizable cell therapies, which can be tailored to a given patient and their respective disease.

Acquirer Profile:

Bristol Myers Squibb (BMS) is a world leader in developing biopharmaceutical products across a wide variety of segments. They focus on developing therapies and products which are used to address cancer, heart disease, and other prevalent ailments. This deal expands BMS's pipeline in cell therapy, which bolsters their lineup of therapies for treating chronic diseases.

Deal Amount: \$1.5B



Acquisition of



October 2025

Target Profile:

89bio is a publicly listed biopharmaceutical company which focuses on developing therapies for the treatment of liver and cardiometabolic diseases. 89bio's lead drug in development, Pegzofermin, aims to treat Metabolic Dysfunction-Associated Steatohepatitis (MASH), a form of fatty liver disease which is estimated to affect 5-7% of the world's adult population.

Acquirer Profile:

Roche is the world's largest biotech company, and the global leader of in-vitro diagnostics. Through acquiring 89bio and gaining access to their pipeline of drugs treating MASH, Roche positions themselves to expand their portfolio in metabolic diseases.

Deal Amount: \$2.4B



Acquisition of



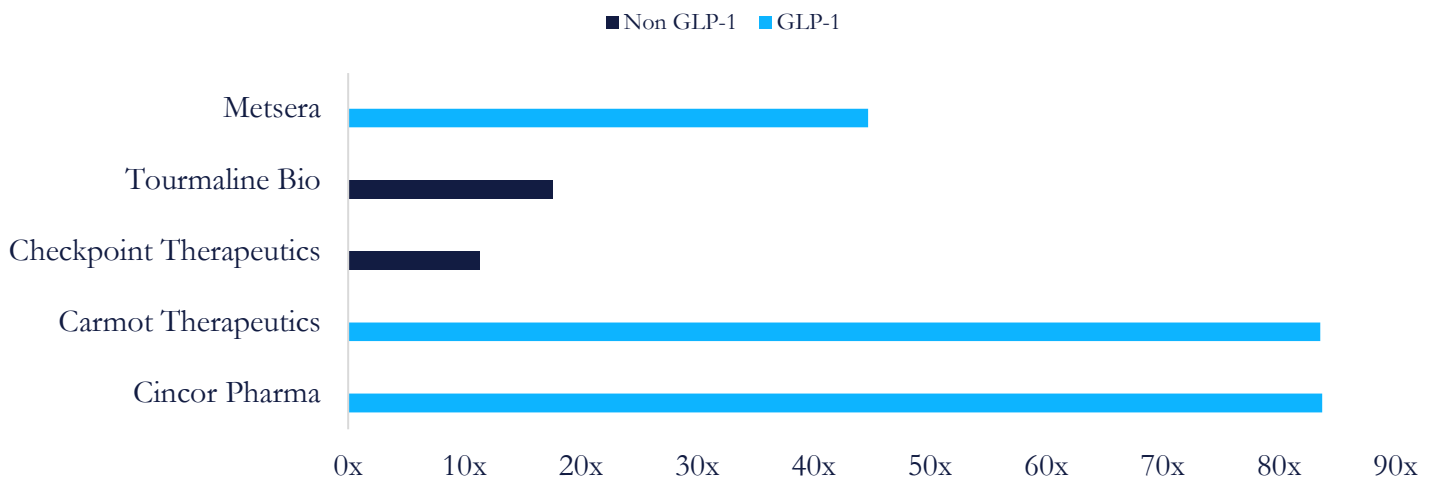
September 2025

NOTABLE DEALS

Pfizer Acquisition Of Metsera

On November 13th, 2025, Pfizer closed the acquisition of Metsera at \$86.25 per share, for a valuation of approximately \$10 billion. Pfizer looks to broaden their metabolic treatment pipeline and offerings through acquiring Metsera. They had previously been unsuccessful in trials for weight-loss drugs, causing them to look for an external boost in the niche to keep up with competitors like Eli Lilly and Novo Nordisk. Metsera boasts a strong pipeline of GLP-1 Agonist drugs, with three different treatments currently in or nearing their trial phase of development. They specialize in clinical-stage development of biopharmaceutical drugs, particularly in the niche of metabolic and cardio-metabolic diseases. With Metsera under Pfizer's control, Pfizer aims to scale Metsera's GLP-1 agonist research and development, with the aim of capturing an increasingly large market for anti-obesity and Type II Diabetes treatments. This follows an extensive bidding war between Pfizer and Novo Nordisk, culminating in Pfizer doubling their initial valuation of \$4.9B for Metsera. As a result, Pfizer is paying a P/R&D multiple of approximately 45x for Metsera, despite them not yet having released any treatments for public use. This large multiple has been frequently seen recently, as large pharmaceutical companies like Pfizer are paying increasing premiums for GLP-1 companies as they race to position themselves well within the ever-growing GLP-1 market as the benefits of the drug are continuously being tested for nuanced ailments.

Recent Pre-Revenue M&A P/R&D Deal Multiples



Eli Lilly Partnership With NVIDIA

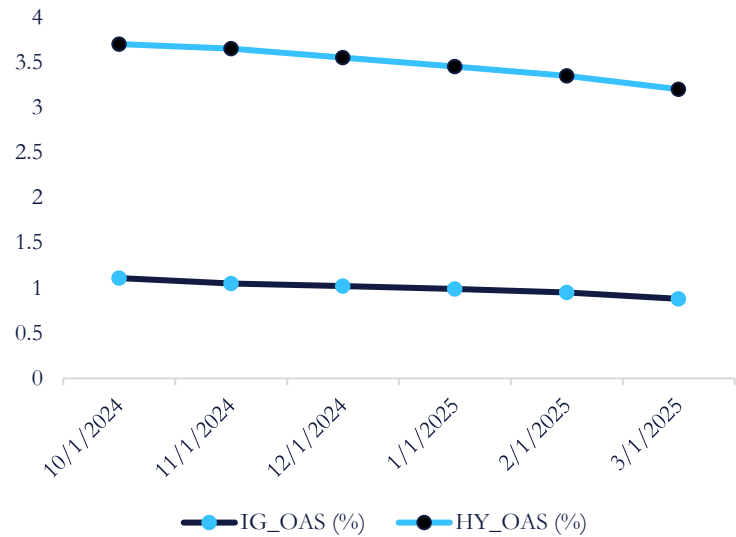
Eli Lilly announced on October 28, 2025, they are partnering with Nvidia to create the most powerful supercomputer owned and operated by a pharmaceutical company. This supercomputer will power an AI factory, used to manage the entire AI lifecycle from data ingestion to high-volume inference. Eli Lilly will purchase over 1,000 Blackwell Ultra GPUs, totaling \$1B-worth of proprietary data to power the data center. The computer's usage will be vast, including allowing scientists to train AI models on experiments to test medicines. One of the many implications of the computer's integration in Eli Lilly's drug discovery base is that it will allow them to accelerate their rate of drug discovery and medicine creation, as well as improve their medical imaging, improving scientists' abilities to see how diseases progress. As drug companies like Eli Lilly are continuously testing drugs like GLP-1 agonists which have low success rates in trials, they hope to gain a competitive advantage over their competition by leveraging their supercomputer to improve their trial success rates, by potentially allowing them to identify unique molecules which haven't previously been used in drug development phases. The supercomputer's integration into Eli Lilly's operations gives them a technological leg-up on other pharma companies as they race to get ahead of their competitors in developing and releasing GLP-1 and other drugs alike.

FINANCING OVERVIEW

Capital Markets Environment

The financing landscape for pharmaceutical manufacturers has gradually improved after two years of restrictive monetary conditions. Following a series of Federal Reserve rate cuts beginning in late 2024, average coupon rates for healthcare debt have eased from 5.2% to roughly 4.4%, supporting a rebound in issuance. Pharma bond volume climbed to about \$220 billion in 2024, up 9% year-over-year, as large firms such as Pfizer, Roche, and AstraZeneca refinanced existing debt and extended maturities. Smaller biotechnology and generic producers, facing higher credit spreads, have leaned more on convertible debt, royalty-backed financing, and venture loans to fund ongoing R&D and manufacturing expansion.

Credit Spreads Tightened into 2025



Shifts in the Lending Landscape

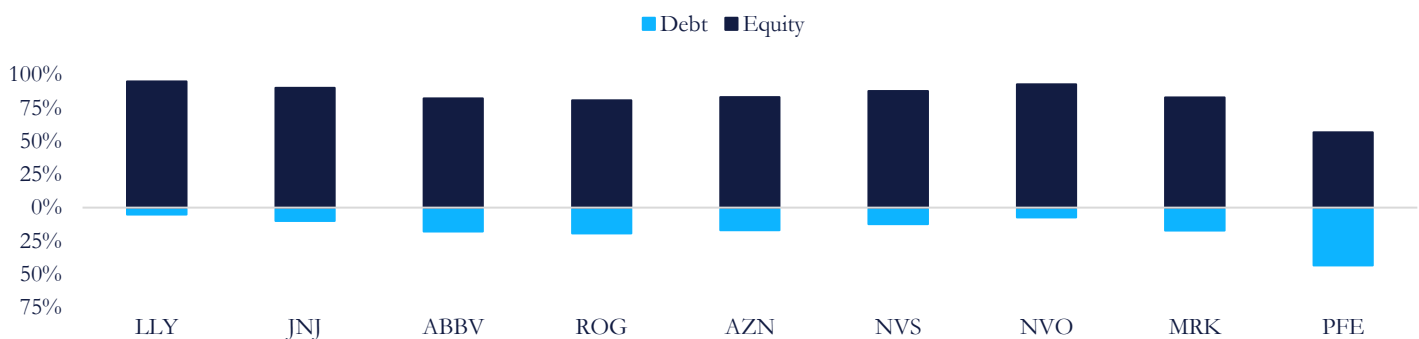
Bank lending has continued to tighten as major institutions scale back exposure to early-stage or R&D-heavy life sciences borrowers. In response, private credit funds, institutional lenders, and sovereign wealth investors have filled much of the gap, now representing nearly 19% of healthcare debt markets compared with 12% in 2022. These non-bank lenders have become more active in funding biological facilities, AI-driven research infrastructure, and new domestic manufacturing projects tied to tariff policy. Investment-grade issuers generally maintain leverage ratios between 1.5 and 2.0-times EBITDA, while smaller and research-intensive firms often exceed 4.0 times due to higher cash burn and limited operating income.

Ticker	Rating
JNJ	AAA
ROG	AA
LLY	A+
NVS	AA-
NVO	AA
MRK	A+
AZN	A+
PFE	A
ABBV	A-

Equity Market Conditions

Equity issuance has begun to recover in 2025 as investor sentiment improves toward growth-oriented therapeutics. GLP-1 and oncology developers have led this rebound, accounting for roughly 60% of total biotech IPO proceeds so far this year. Although valuations remain below pre-2022 levels because of pricing reform and geopolitical uncertainty, access to capital has improved for firms with strong pipelines. Larger incumbents have continued to invest heavily in M&A and R&D diversification, spending close to \$150 billion in 2024.

Capital Structure



The background of the slide is a blurred laboratory setting. In the foreground, a circular plate holds numerous small, clear glass vials with blue caps, arranged in a grid. The lighting is cool and blue-toned, typical of a scientific environment.

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Comparable Companies Analysis

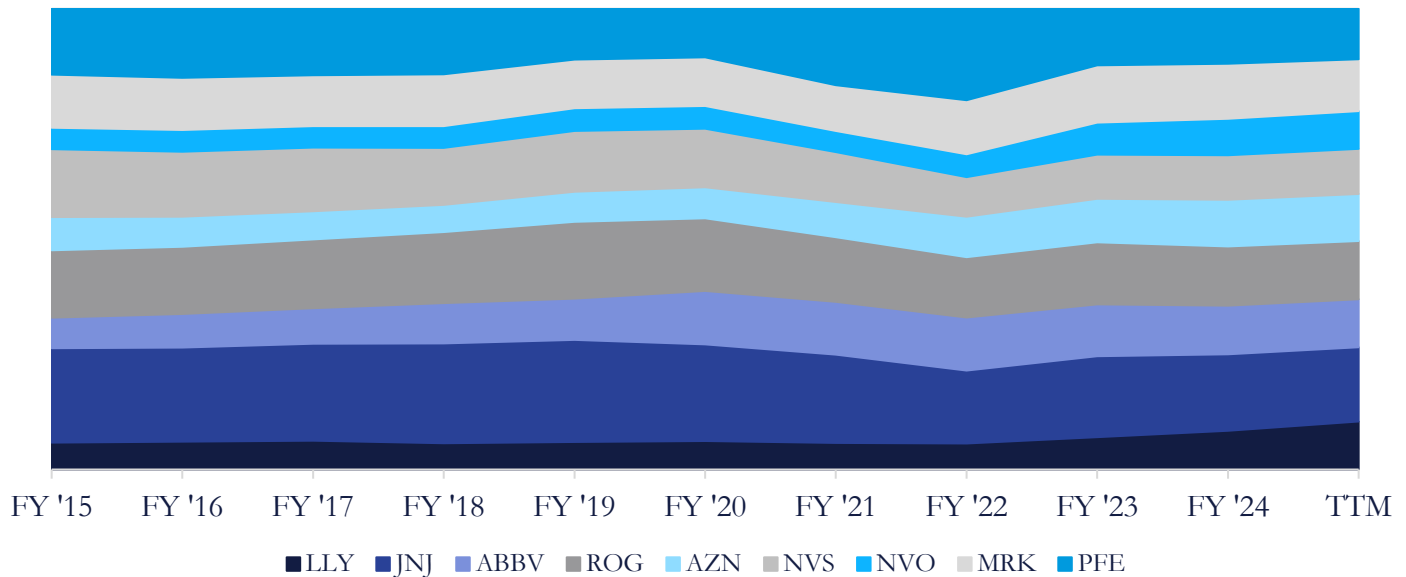
COMPARABLE UNIVERSE

Logo	Company	Ticker	Description	Price (USD)
	Eli Lilly and Company	LLY	Medicine company engaged in the discovery, development, manufacturing, and sales of pharmaceutical products covering neuroscience, endocrines, anti-infectives, cardiovascular agents, oncology, and immunology.	\$862.86
	Johnson & Johnson	JNJ	Manufacturer of health care products and related services. The Innovative Medicine business segment is focused on manufacturing medicines for immunology, infectious diseases, neuroscience, oncology, pulmonary hypertension, and cardiovascular therapeutic areas	\$188.87
	AbbVie Inc.	ABBV	Research-based biopharmaceutical company focused on the discovery and development of medicines and therapies solving health issues across immunology, oncology, aesthetics, neuroscience, and eye care.	\$218.04
	Roche Holding AG	ROG.SW	The world's largest biotechnology company and global leader of in-vitro diagnostics. The Switzerland based producer of prescription drugs in cardiovascular, infectious, autoimmune, respiratory diseases, dermatology, metabolic disorders, oncology, transplantation, and the central nervous system.	\$208.03
	AstraZeneca PLC	AZN	UK headquartered holding company focused on the discovery, development, and commercialization of prescription drugs in oncology, gastrointestinal, cardiovascular, respiratory, pain control, anesthesia, infection, and central nervous system.	\$82.40
	Novartis AG	NVS	Multinational group headquartered in Switzerland. The company specializes on the research, development, manufacturing, and marketing of pharmaceutical and consumer healthcare products focused on biomedical research with two commercial units: US and International.	\$123.79
	Novo Nordisk A/S	NVO	One of the world leaders in Diabetes and Obesity care including a full portfolio of GLP-1 receptor agonists, modern insulins, and human insulins. Additionally offers products in hemostatic management, growth disorders, and hormone replacement therapies.	\$49.46
	Merk & Co., Inc.	MRK	Global health care company that delivers health solutions through prescription medicines, vaccines, biologic therapies, and consumer care products. Top products cover cancer and diabetes drugs as well as HPV, pediatric combination, and disease vaccinations.	\$85.98
	Pfizer Inc.	PFE	Research-based pharmaceutical company offering medicines, vaccines, medical devices, and consumer healthcare products for oncology, inflammation, cardiovascular, and other therapeutic areas.	\$24.65

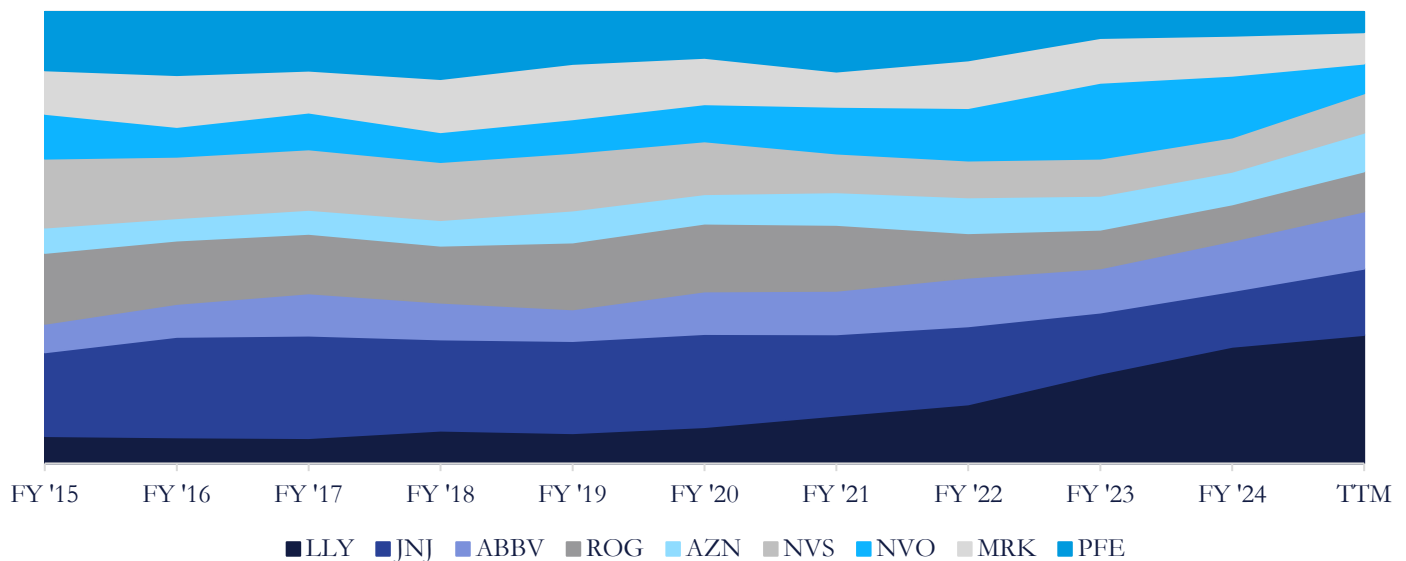
The highlighted companies represent top global drug manufacturers across major market segments including biopharmaceuticals (ROG.SW, ABBV, NVS, LLY, MRK, JNJ), injectable peptides and hormones (NVO, LLY), vaccines (PFE, MRK, JNJ), oncology (ROG.SW, AZN, MRK, PFE, JNJ), gene and cell therapies (NVS, ROG.SW, PFE), and OTC products (JNJ). Collectively, they serve commercial and government-sponsored channels worldwide. This broad international presence enables comprehensive analysis of industry evolution, sector growth, R&D trends, and therapeutic diversification within the pharmaceutical landscape.

MARKET SHARE

Revenue



Market Capitalization



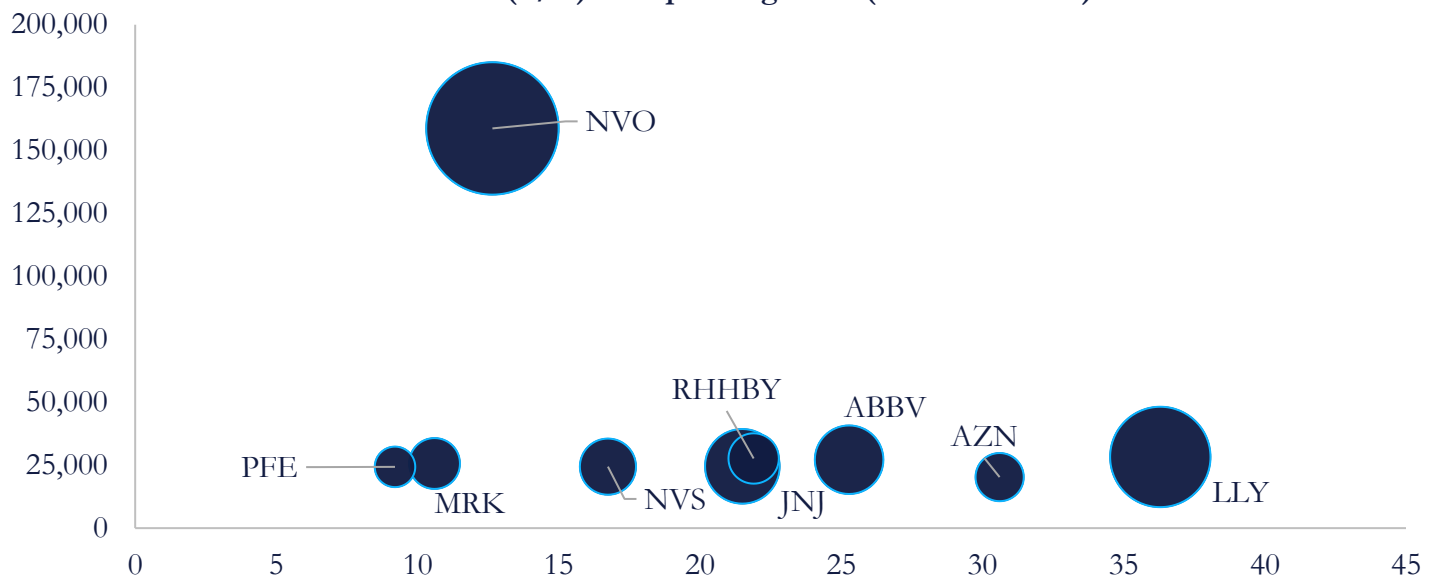
The above charts illustrate the relative positions of the selected comparable companies based on revenue and market capitalization over the past decade. The analysis first examines revenue trends, followed by changes in market capitalization, which signals how the public stock market values each firm's prospects. In 2020, Pfizer experienced a sharp spike in revenue as COVID-19 became a global catalyst, driving outstanding vaccine demand. Beginning in 2022, however, Pfizer's revenues declined significantly as vaccine demand normalized, and both its revenue and market capitalization contracted due to a slowdown in pipeline momentum, suggesting that once the catalyst subsided, the company lacked follow-through innovation to sustain growth. In contrast, a notable shift emerges in Eli Lilly's market capitalization starting in 2022. Since then, the company has seen strong growth driven by its strategic expansion into cardiometabolic therapeutics for diabetes and obesity, which dramatically increased its total addressable market. The FDA approvals of Mounjaro in 2022 and Zepbound in 2023 further accelerated investor confidence by strengthening Eli Lilly's position in the rapidly growing GLP-1 drug category.

COMPANY INFORMATION

Company	Mkt. Cap	Enterprise Value	Share Price	TTM		EPS	P/E
				Revenue	EBITDA		
Eli Lilly and Company	815,734	848,384	862.86	59,419	28,286	23.79	36.3
Johnson & Johnson	455,044	482,277	188.87	92,149	24,558	8.77	21.5
AbbVie Inc.	385,180	449,239	218.04	59,644	27,179	8.63	25.28
Roche Holding AG	210,892	236,263	258.9	72,337	27,675	11.84	21.9
AstraZeneca PLC	193,373	279,740	82.4	56,501	20,273	5.35	30.61
Novartis AG	260,489	282,935	123.27	56,063	24,430	7.36	16.74
Novo Nordisk A/S	141,070	149,110	315.95	31,194	15,881	12.65	12.65
Merck & Co., Inc.	214,759	241,606	13.73	64,235	25,685	8.11	10.6
Pfizer Inc.	138,077	187,141	24.32	62,785	24,343	2.68	9.2
Lower	210,892	241,606	82.4	56,063	20,273	7.36	12.65
Mean	454,036	500,062	232	92,786	40,141	9.91	20.53
Median	260,489	282,935	188.87	62,785	25,685	8.63	21.50
Upper	385,180	482,277	258.9	64,235	27,179	11.84	25.28

Market capitalization and enterprise value gauge company scale and market confidence in cash-flow potential. Novo Nordisk and Johnson & Johnson are clear outliers—Eli Lilly leads both valuation metrics (MC ~\$815B; EV ~\$848B) and EBITDA (TTM ~\$28.3B) while Johnson & Johnson boasts the largest revenue across the comps (TTM ~\$92.1B). The upper quartile is controlled by a range of players, displaying that different operating strategies lead to dominance across different metrics. Johnson & Johnson and Eli Lilly display a clear contrast in business models, as JNJ's high-revenue / high-cost drives a moderate EPS and a reasonable P/E multiple, while LLY's blockbuster drug revenue skyrockets their EPS and valuation. Roche, AbbVie, Merck, and Pfizer cluster near the median, while AstraZeneca and Novartis sit slightly below but remain solid. Merck and Pfizer, with the lowest P/E multiples (10.6x and 9.2x), reflect portfolios less exposed to high-growth areas. Quartile analysis shows a median company with ~\$260B market cap, ~\$283B EV, ~\$63B revenue, ~\$26B EBITDA, EPS of 8.6, and a 21.5x P/E. Overall, valuations split between high-growth innovators like Lilly and AbbVie commanding premium multiples and diversified incumbents trading near historical averages pending clearer pipeline visibility.

Valuation (P/E) vs. Operating Scale (EBITDA \$MM)



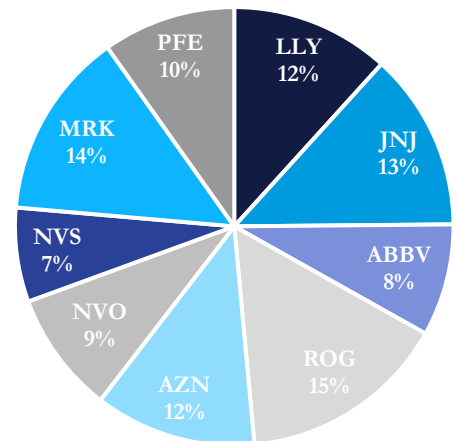
Sources: Bloomberg, Respective company websites

R&D PIPELINE ANALYSIS

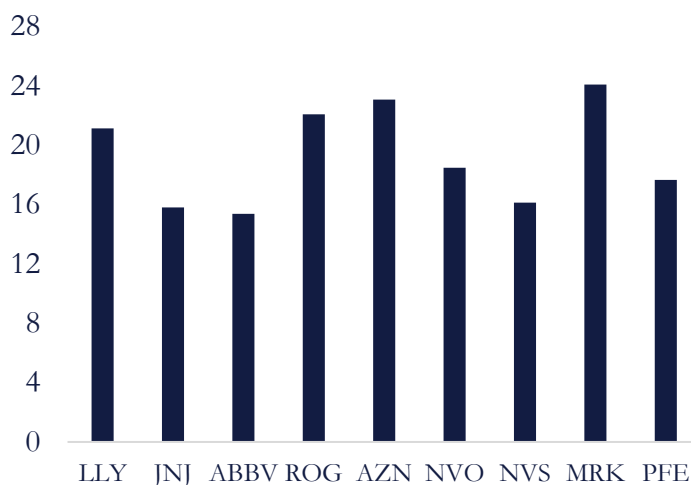
Company	Phase 1	Phase 2	Phase 33	Filed	R&D Expense	R&D Growth	R&D / OpEx	R&D / Revenue
Eli Lilly and Company	29	22	32	2	13,246	20.90%	49.38%	21.15%
Johnson & Johnson	24	19	38	22	14,821	34.85%	39.24%	15.82%
AbbVie Inc.	21	15	7	9	9,344	(26.95%)	20.33%	15.37%
Roche Holding AG	44	24	39	26	17,383	(1.32%)	49.66%	22.09%
AstraZeneca PLC	40	33	40	75	13,453	10.17%	41.14%	23.09%
Novartis AG	28	37	34	3	10,151	9.12%	38.00%	18.49%
Novo Nordisk A/S	18	11	10	5	7,842	12.49%	53.33%	16.13%
Merck & Co., Inc.	0	17	20	6	15,591	(12.73%)	57.55%	24.10%
Pfizer Inc.	46	30	28	4	11,082	3.63%	44.70%	17.65%
Lower	21	17	20	4	10,151	(1.32%)	39.24%	16.13%
Mean	28	23	28	17	12,546	5.58%	43.70%	19.32%
Median	28	22	32	6	13,246	9.12%	44.70%	18.49%
Upper	40	30	38	22	14,821	12.49%	49.66%	22.09%

Research and development (R&D) is one of the most noted line items for pharmaceutical companies, as it captures much of the spending done for their drug pipelines, which drive their revenues. As the above table shows, there appears to be no correlation between the number of drugs in trials and R&D Expense, as Merck & Co., Inc. has the 2nd highest R&D Expense of the set, yet the least number of drugs in their pipeline. Merck also is the only company to have 0 drugs listed in Phase 1, as they've focused on later-stage drugs. AstraZeneca has the most drugs in their pipeline and continues to grow their R&D Expenses (10.14% YoY growth). Also, Novo Nordisk A/S has the lowest R&D Expense (\$7,842), while having the highest market cap of the set.

LTM R&D Spending



LTM Revenue/R&D



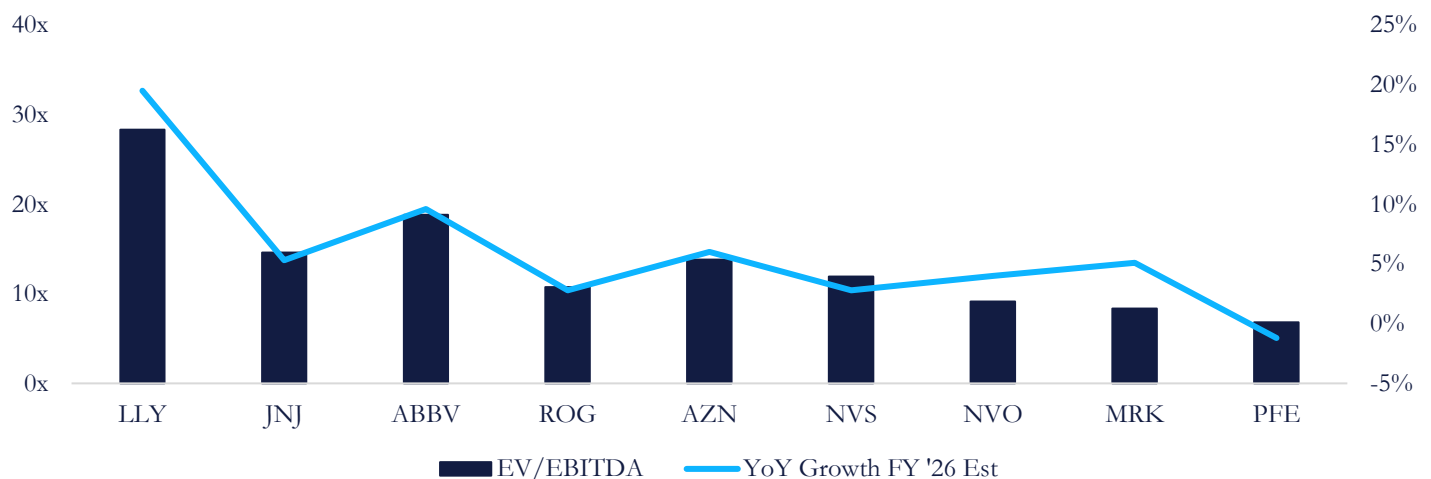
Pfizer has remained largely stable relative in the set in their R&D expenditures (3.63% YoY growth) yet has shown commitment to growing their R&D pipeline with their acquisition of Metsera. The highest R&D Expense of the group belongs to Roche Holding AG, despite the company having the 2nd smallest EV of the set. Still, they've also shown continued increased investment in their R&D pipeline, exemplified by their recent acquisition of 89bio. This trend applies to most of the set of companies, as the mean YoY growth in R&D expenses is 5.58%, and several of the listed companies have recently made acquisitions to continue to bolster their R&D pipelines to better equip them in today's evolving healthcare industry.

VALUATION & GROWTH ANALYSIS

Company	EV/Revenue	EV/EBITDA	Price/Book	P/E	P/Sales	YoY Growth FY '25 Est	YoY Growth FY '26 Est
Eli Lilly and Company	13.48x	28.31x	34.61x	40.29x	12.32x	41.20%	19.50%
Johnson & Johnson	4.94x	14.61x	5.78x	17.21x	4.70x	5.60%	5.30%
AbbVie Inc.	7.12x	18.80x	-	96.07x	6.13x	8.20%	9.60%
Roche Holding AG	3.84x	10.75x	7.19x	21.85x	3.38x	2.20%	2.80%
AstraZeneca PLC	4.58x	13.81x	5.73x	28.31x	4.19x	8.10%	6.00%
Novartis AG	4.93x	11.93x	5.40x	15.92x	4.17x	6.10%	2.80%
Novo Nordisk A/S	4.70x	9.12x	8.38x	12.59x	4.48x	7.30%	4.00%
Merck & Co., Inc.	4.29x	8.35x	4.43x	12.27x	3.15x	0.80%	5.10%
Pfizer Inc.	2.74x	6.80x	1.59x	12.14x	2.04x	(1.40%)	(1.20%)
Lower	4.29x	9.12x	5.16x	12.59x	3.38x	2.20%	2.80%
Mean	5.62x	13.61x	9.14x	28.52x	4.95x	8.68%	5.99%
Median	4.70x	11.93x	5.76x	17.21x	4.19x	6.10%	5.10%
Upper	4.94x	14.61x	7.49x	28.31x	4.70x	8.10%	6.00%

Valuation ratios measure the financial performance of companies by comparing a valuation metric such as enterprise value (EV) or share price to profitability metrics like sales, earnings, or book value. EV/EBITDA is a key indicator because it links a company's market value to its core operational profitability without accounting for capital structure. Based on this metric, Eli Lilly trades at a significant premium (28.31x), signaling strong investor confidence in its growth pipeline relative to peers. AbbVie also commands a higher valuation on both EV/EBITDA (18.80x) and P/E (96.07x), although the latter likely reflects investor optimism beyond its near-term fundamentals given post-Humira uncertainty. Most other peers (Johnson & Johnson, Novartis, and AstraZeneca) trade near the sector median (EV/EBITDA 11.9x, P/E 17.2x), aligning with stable earnings outlooks and moderate mid-single-digit growth. Conversely, Pfizer and Merck trade at discounts (EV/EBITDA <9x, P/E ~12x), as markets price in post-COVID revenue normalization and lower short-term catalysts. Across the group, Eli Lilly notably outperforms with the highest growth expectations for FY '25 (+41.2%) and FY '26 (+19.5%), supported by its GLP-1 drug success and diversified late-stage pipeline. The sector overall remains valued at a premium to historical averages, underpinned by robust R&D investment, patent durability, and long-term demand for next-generation therapeutics despite varying growth trajectories across firms.

Valuation vs Growth Expectation

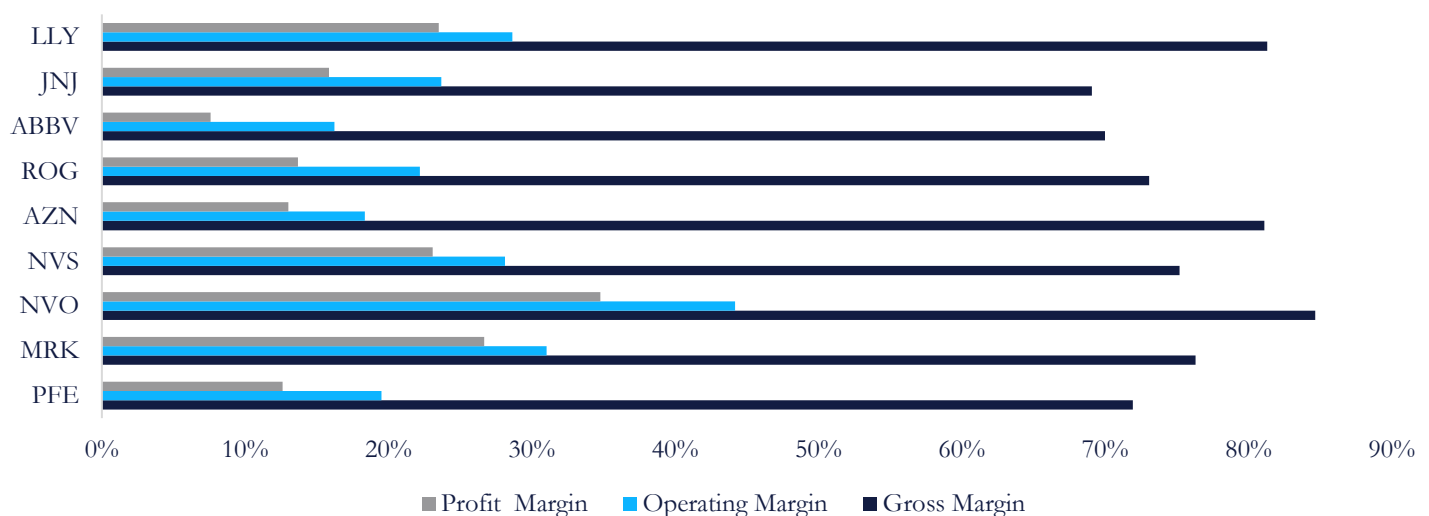


PROFITABILITY

Company	Gross Margin	EBITDA Margin	Operating Margin	Profit Margin	ROA	ROE	ROIC
Eli Lilly and Company	81.31%	33.02%	28.64%	23.51%	14.84%	84.84%	30.34%
Johnson & Johnson	69.07%	32.17%	23.69%	15.84%	8.09%	20.06%	16.44%
AbbVie Inc.	69.99%	31.45%	16.22%	7.59%	3.17%	61.94%	11.13%
Roche Holding AG	73.08%	27.84%	22.18%	13.68%	8.61%	27.10%	15.90%
AstraZeneca PLC	81.12%	30.72%	18.35%	13.01%	6.86%	17.60%	12.35%
Novartis AG	75.20%	39.85%	28.12%	23.09%	11.81%	26.33%	16.71%
Novo Nordisk A/S	84.67%	50.77%	44.19%	34.78%	25.89%	80.78%	54.91%
Merck & Co., Inc.	76.32%	38.58%	31.03%	26.68%	15.30%	40.81%	19.70%
Pfizer Inc.	71.94%	31.57%	19.51%	12.62%	3.65%	9.06%	7.38%
Lower	71.94%	31.45%	19.51%	13.01%	6.86%	20.06%	12.35%
Mean	75.86%	35.11%	25.77%	18.98%	10.91%	40.95%	20.54%
Median	75.20%	32.17%	23.69%	15.84%	8.61%	27.10%	16.44%
Upper	81.12%	38.58%	28.64%	23.51%	14.84%	61.94%	19.70%

Profitability across major drug manufacturers has shifted over time, largely in response to generic competition, patent cycles, and evolving supply chain pressures. PFE, MRK, JNJ, and ABBV are heavily exposed to Loss of Exclusivity (LOE), putting sustained pressure on EBITDA, operating, and profit margins. In the past decade, generics have undercut revenues from once-dominant blockbusters like Lipitor, Lyrica, Remicade, and Zetia. The erosion in profit and weaker margins result in lower ROA, ROE, and ROIC relative to innovation-driven companies such as Eli Lilly and Novo Nordisk. Boasting a 35% profit margin, Novo Nordisk has continued release of patent-protected or first-in-class therapies, including Cargisema, Amycretin, and novel insulin & glucose-responsive drugs. Roche and Novartis show mid-range profitability metrics that reflect mixed exposure: strong earnings from their specialty therapeutics countered by margin compression from the entry of biosimilars to Herceptin, Rituxan, and other oncology staples. The trend is clear: firms that successfully pivoted toward high-margin oncology, immunology, and metabolic drugs have experienced margin expansion. Those more exposed to primary-care markets and generics continue to show declining profits across operating margin, ROE, and ROIC, as biosimilar competitive pressure intensifies.

Margin Analysis

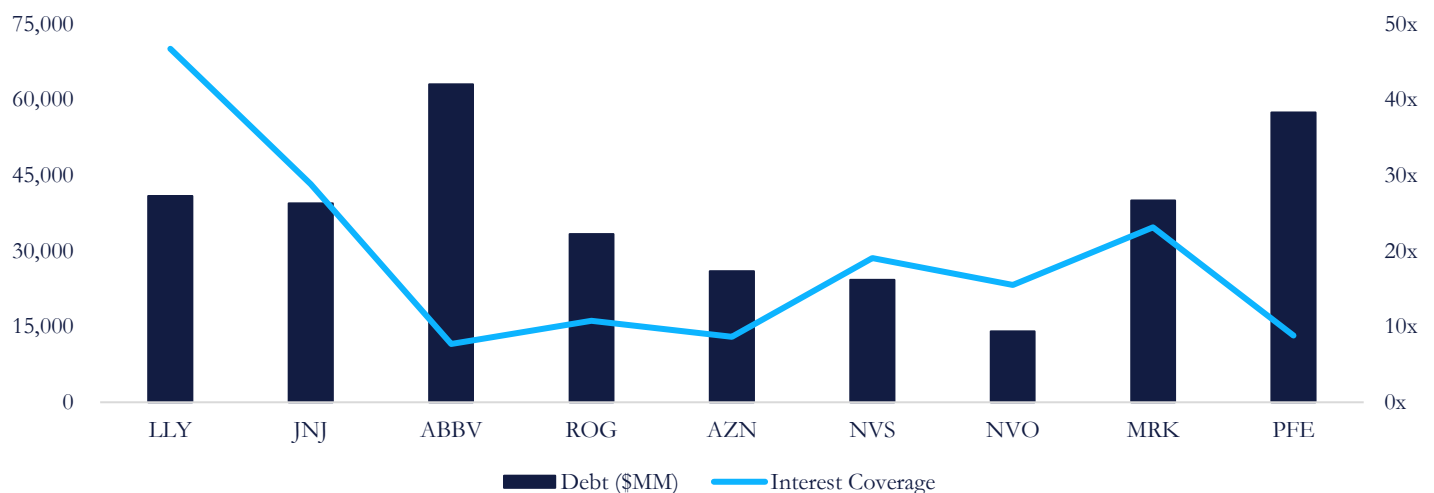


LIQUIDITY & LEVERAGE

Company	Operating Cash Fow	Working Capital	Cash Ratio	Interest Coverage	Total Debt	Debt / Assets	Debt / Equity
Eli Lilly and Company	8,818	21,930	0.25	46.69x	40,874	36.98%	178.22%
Johnson and Johnson	24,266	3,742	0.36	28.83x	39,408	23.75%	57.77%
AbbVie Inc.	18,806	(10,852)	0.14	7.70x	62,971	51.34%	4777.58%
Roche Holding AG	22,214	10,227	0.44	10.75x	33,322	34.86%	99.96%
AstraZeneca PLC	12,204	(4,597)	0.21	8.64x	25,986	29.21%	73.28%
Novartis AG	17,619	(3,802)	0.30	19.06x	24,238	29.85%	71.55%
Novo Nordisk A/S	17,544	(8,265)	0.14	15.50x	14,046	19.76%	59.57%
Merck & Co., Inc.	21,468	18,929	0.64	23.11x	39,969	31.94%	79.71%
Pfizer Inc.	12,744	10,328	0.41	8.82x	57,409	29.57%	66.29%
Lower	12,744	(4,597)	0.21	8.82x	25,986	29.21%	66.29%
Mean	17,298	4,182	0.32	18.79x	37,580	31.92%	607.10%
Median	17,619	3,742	0.30	15.50x	39,408	29.85%	73.28%
Upper	21,468	10,328	0.41	23.11x	40,874	34.86%	99.96%

Liquidity and leverage metrics provide important insight into short-term operations and long-term financing. From an operating perspective, each of the comps have healthy cash flow margins. JNJ, ROG, and MRK stick out with the highest operating cash flow and strong cash reserves. ABBV, still with strong cash flow, boasts a much lower cash ratio, limited by their needs for working capital investment. Net working capital requirements are highly diverse across the comp set, as each firm has different needs for short term investments. Across the board, interest coverage ratios are extremely strong, necessitated by the mountains of debt being piled on across the industry. The need for debt to finance research has a clear impact on capital structure, making up a significant portion of financing for each firm. Here, ABBV stands out with nearly 50 times as much book debt as equity. This is due in part to the accumulated loss balance of \$8 billion on their balance sheet. The avoidance of equity financing helps prevent dilution from continued stock offerings, but high interest payments can weigh heavily on the income statement, thereby lowering net income. Resultingly, ABBV's interest coverage ratio is the lowest out of the comp set, with only 7.7x EBIT / interest expense on their most recent filing. Comparing debt and interest coverage displays which comps have the healthiest operational safety net. LLY, NVS, and NVO all have relatively high interest coverage at their respective debt levels.

Total Debt vs. Interest Coverage





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Initiating Coverage:

Eli Lilly and Company (NYSE: LLY)



ELI LILLY (NYSE: LLY)

Eli Lilly & Company is known for their development of innovative therapies across diabetes, oncology, neuroscience, and immunology. Lilly is a leader in metabolic disease, with products like Mounjaro/Zepbound and a long legacy in insulin. The firm emphasizes high-impact R&D and global access initiatives.

Differentiation and Strategy

Eli Lilly differentiates itself via deep specialization, aggressive R&D, and category-defining product launches. While most large pharma cover dozens of verticals, Lilly focuses on four: metabolic disease, neuroscience, oncology, and immunology. Among these, Lilly has built unmatched technical depth and go-to-market prowess, facilitating simultaneous pursuit of Phase 3 trials for Tirzepatide (Metabolic) and Donanemab (Alzheimer's). Additionally, Lilly sits in the top quartile for R&D spending, at 24.4% of revenue (2024). R&D spending per drug approval, however, is in the second quartile, \$7.5bn, demonstrating the efficiency and efficacy of Lilly's streamlined manufacturing & dual trial process. Finally, Lilly has demonstrated greater commitment to manufacturing capacity than any competitor, boasting \$18 billion in manufacturing capex since 2020.

Financial Performance

Lilly's last-twelve-month (LTM) revenue has seen explosive 45% YoY growth. 2025 top line performance dwarfs the firm's already impressive 20.1% 5-year CAGR. And the money trickles down: net income has doubled from \$5 to 10 billion since Q4 2023. The recent success is directly attributed to the meteoric rise in demand for GLP-1-class therapies: Mounjaro (for type 2 diabetes) and Zepbound (for obesity). In Q3 2025, Mounjaro and Zepbound together accounted for 57% (\$10bn) of total sales. In November 2025, Eli Lilly became the first drugmaker to break \$1trillion valuation.

Recent Acquisitions

Eli Lilly made four notable acquisitions in 2025: Scorpion Therapeutics (oncology), Verve Therapeutics (metabolic/diabetes drugs), Adverum Biotechnologies (ophthamology), and SiteOne Therapeutics (non-opioid pain-therapy). These four acquisitions represent support for existing metabolic & oncology pipelines, but also a dedication to innovate in new and growing industries where Lilly seeks to direct R&D.

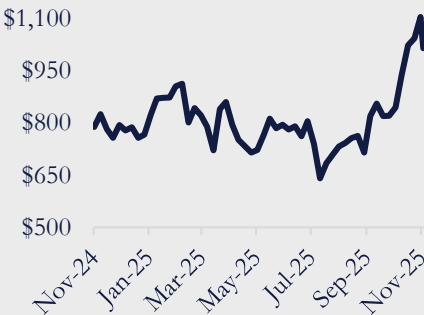
Outlook

BBR holds its rating as Buy for Eli Lilly with a target price of \$1,114. BBR sees upside in demand and long-term patent protection for Tirzepatide-based drugs Mounjaro and Zepbound (29.4% & 16.2% of revenue, respectively). A boost to outlook came in March 2025, as the FDA declared Terzepatide no longer in short supply, banning compounded generics. Additionally, Lilly maintains strong R&D, with 13 drugs in Phase 3 and 17 in Phase 2 trials. DCF bullish/bearish price targets \$1,290/\$922 suggest 27.6% potential upside and 8.8% potential downside, reinforcing Buy stance.

Sources: LLY 10-K, Bloomberg, Yahoo Finance

Stock Rating	Buy
BBR Price Target	\$1,114.00
Price (12/04/25)	\$1,011.97
Ticker	LLY
Exchange	NYSE

52 Week Range \$623.78 – \$1,111.99



Research Team

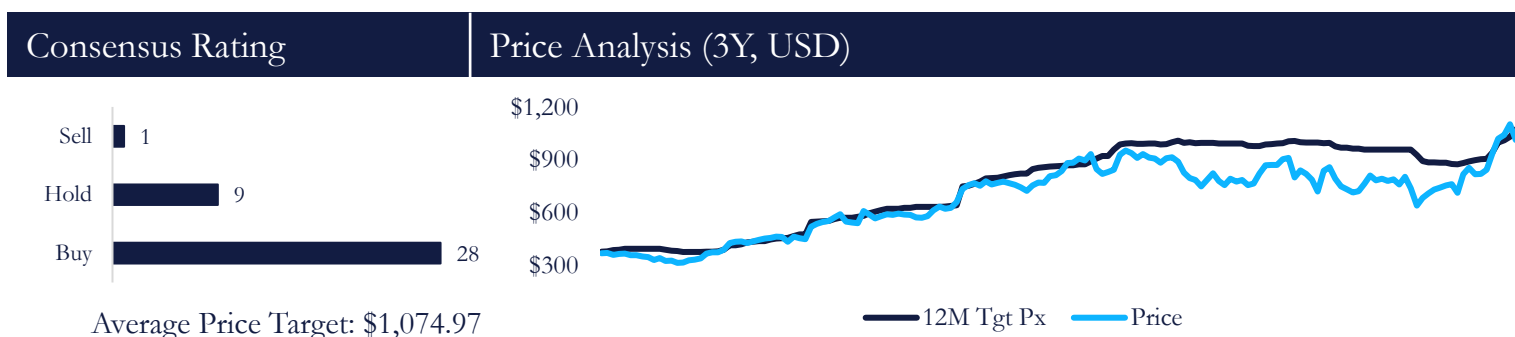
- Colin Farley
- Willis Ryckman
- Tyler Knox
- Suchnoor Ahuja
- Rebekah Campus-Hartman

	Multiples	
	LLY	Peers
EV/EBITDA	38.72x	13.61x
P/E	50.83x	28.52x
Cash Ratio	0.12x	0.32x

Stock Information

Market Cap. (bn)	\$930.22
Shares Outs. (mm)	895.02
Free Float	99.43%
Dividend Yield	0.58%

ALTERNATIVE VALUATIONS



Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Healthcare Coverage	12/04	Buy	\$1,114.00
GUGGENHEIM	Seamus Fernandez	12/03	Buy	\$1,163.00
Scotiabank	Louise Chen	12/02	Outperform	\$1,165.00
citi	Dr. Geoffrey Meacham	12/01	Buy	\$1,500.00
LEERINK	David R. Risinger	12/01	Outperform	\$1,104.00
Morgan Stanley	Dr. Terenec Flynn	11/24	Overweight	\$1,290.00
J.P.Morgan	Christopher Schott	11/18	Overweight	\$1,150.00
Jefferies	Akash Tewari	11/10	Buy	\$976.00
Deutsche Bank	James Shin	11/07	Buy	\$1,000.00

Select Commentary

J.P. Morgan

Rating: **Overweight**

Price Target: **\$1,150.00**

- 2025 revenue forecast \$63.81bn, EPS 23.68.
- 2026 revenue forecast \$78.67bn, EPS 33.99 (23.3% top line growth).
- 20-25mm Medicare beneficiaries with obesity; Zepbound poised for 80% coverage presuming \$50 copay & favorable 2026 Part D repricing.
- Exposure to metabolic sector growth (38% CAGR) while market lags (5%).
- Upcoming launch of orforglipron (small molecule oral GLP-1) adds further tailwinds to growing demand for Zepbound and Mounjaro.
- Projected low-teen revenue growth & high-teen EPS growth through mid 2030s.

Research Team:

Chris Schott, CFA

Hardik Parikh, CFA

Ethan Brown

Taylor Hanley



BBR

BULL & BEAR
RESEARCH

Initiating Coverage:

Johnson & Johnson: (NYSE: JNJ)

JOHNSON & JOHNSON (NYSE: JNJ)

Johnson & Johnson engages in the research and development, manufacturing, and sale of various products in the healthcare sector. It operates in two segments, Innovative Medicine and MedTech. It distributes products to wholesalers, hospitals, retailers and physicians.

Differentiation and Strategy

The bifurcated nature of JNJ’s business model allows the firm to dominate in two very different segments. The Innovative Medicine business captures a diversified portfolio of products across Immunology, Infectious Diseases, Neuroscience, Oncology, Cardiovascular, and more. The higher margin and cash flow Medicine segment serves as a counter-cyclical anchor, helping finance heavy R&D spend across the entire product portfolio, including their riskier MedTech business. JNJ continues to spend over \$15B on R&D each year, eating up nearly 20% of their revenue across both business segments. Additionally, the firm deploys billions of dollars in capital to external growth opportunities, boasting growth through acquisition, and funding early-stage ventures. Altogether, JNJ is a heavily diversified, self-sustaining, innovation powerhouse.

Financial Performance

JNJ has performed extremely well in the last year. The firm has beat EPS estimates each of the last 4 quarters, with shares up over 40% YTD vs the S&P500’s 16%. JNJ has eased its concern around tariffs as a major headwind, while simultaneously investing \$2B in US manufacturing to avoid additional penalties after Trump threatened 100% tariffs against pharma products. Topline improvement is driven by Medicine’s high single-digit growth in United States sales, while MedTech has grown steadily across all geographies. Continued revenue beats will be critical to supporting current share price.

Recent Acquisitions

Direct investment in other companies remains a critical component of JNJ’s long-term growth strategy. The firm has completed over 50 acquisitions in its lifetime, including 24 in the last decade alone. Notable buyouts include the \$14.6B acquisition of Intra-Cellular Therapies in 2025, and \$13.1B purchase of Shockwave Medical in 2024. These buyouts support continued growth across existing product segments, and penetration into new markets.

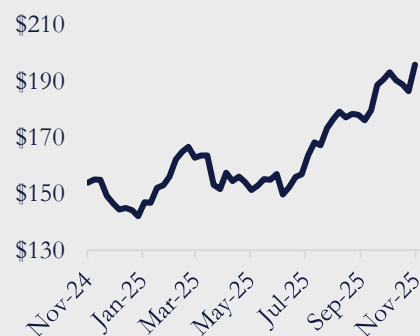
Outlook

BBR’s rating for JNJ is a Buy, with a price target of \$225. As a household name and corporate favorite, Johnson & Johnson continues to be an attractive investment to both retail and institutional investors. Critical catalysts are Innovative Medicine, U.S. market share growth. MedTech will likely be supported by continued acquisitions, including investments in AI technology. JNJ will be a largest beneficiary of this development and may explain the large reserves of cash and equivalents on their balance sheet.

Stock Rating	Buy
BBR Price Target	\$225.00
Price (12/04/25)	\$207.56
Ticker	JNJ
Exchange	NYSE

52 Week Range

\$140.68 – \$207.56



Research Team

Colin Farley

Willis Ryckman

Tyler Knox

Suchnoor Ahuja

Rebekah Campus-Hartman

	Multiples	
	JNJ	Peers
EV/EBITDA	14.61x	13.61x
P/E	17.21x	28.52x
Cash Ratio	0.36	0.32

Stock Information

Market Cap. (bn)	\$500.07
Shares Outs. (mm)	2,409.30
Free Float	77.56%
Dividend Yield	2.50%

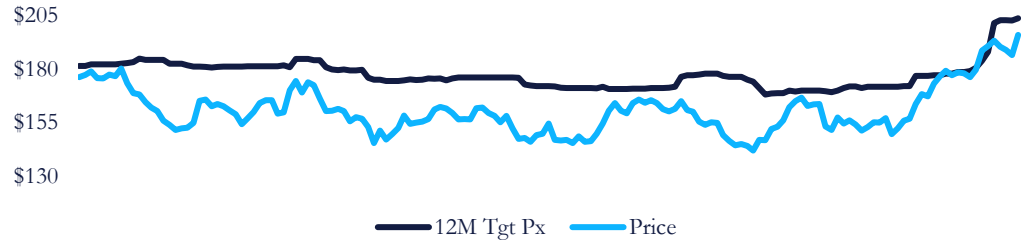
ALTERNATIVE VALUATIONS

Consensus Rating



Average Price Target: \$204.88

Price Analysis (3Y, USD)



Firm	Analyst	Date	Analyst Rating	Price Target
 BBR	Healthcare Coverage	12/04	Buy	\$225.00
 BARCLAYS	Matt Miksic	12/02	Equal Weight	\$197.00
 RBC Royal Bank	Shagun Singh	11/5	Outperform	\$209.00
Morgan Stanley	Terence Flynn	10/30	Equal Weight	\$190.00
 Goldman Sachs	Asad Haider	10/15	Buy	\$213.00
LEERINK 	David Risinger	10/15	Market Perform	\$201.00
 citi	John Karen Wuensch	10/14	Buy	\$215.00
 RAYMOND JAMES®	Jasyson Bedford	10/14	Outperform	\$209.00
J.P.Morgan	Christopher Schott	10/14	Neutral	\$205.00

Select Commentary

JP Morgan

Rating: **Neutral**

Price Target: \$205.00

Research Team

Chris Scott, CFA

Hardik Parikh, CFA

Ethan Brown

Taylor Hanley

- Forecast 2025 sales of \$93.8bn incorporating 1) the Q3 beat, 2) slightly higher est for Tremfya, 3) moderately less erosion for Stelara, partially offset by other cuts.
- Expectations for 2026 mostly in line with management guidance, forecasting year over year growth of 5.2% to sales of \$98.7bn with continued erosion of Stelara (-35% YoY) more than offset by JNJ's core growth drivers.
- JNJ's underlying business as well positioned and capable of generating 5%+ sustained top-line growth, with an Innovative Medicines segment that can generate mid-single-digit growth through 2030.



BULL & BEAR
RESEARCH

Initiating Coverage:

AbbVie: (NYSE: ABBV)



ABBVIE INC (NYSE: ABBV)

AbbVie Inc. is a research-based biopharmaceutical company which engages in R&D, manufacturing, and selling medicines and therapies worldwide. The company boasts a diverse portfolio of treatments for various cancers, autoimmune diseases, and aesthetic benefits, among others.

Differentiation and Strategy

ABBV differentiates itself through their vast pipeline and portfolio of drugs across oncology, neuroscience, and biologics sectors. Their drugs Humira, Rinvoq, and Skyrizi are among the highest selling drugs in the US, with Skyrizi being the 6th highest-selling drug domestically in 2024, with revenues of approximately \$11.7B. Their strategy has focused on a sustained dominance within the oncology and immunology sectors, although they have increasingly invested in neuroscience and aesthetics, as both markets have seen increasing demand from American consumers. They have historically looked to continuously innovate with new treatments through internal R&D and external partnerships and licensing to accelerate their pipeline growth. This strategy has allowed them to become a behemoth across numerous sectors of pharma.

Financial Performance

ABBV has delivered steady revenue growth, driven by strong growth in sales for Rinvoq, which has increasingly done well in IBD and RA sectors. Their free cash flows have grown as they have expanded in the aesthetics and neuroscience markets, and they've paid a consistent dividend yield to shareholders. Their EPS has consistently grown in recent years, much to do with their expansion into new markets, while their margins have maintained relatively stable, as they are continuing to invest in new markets across aesthetics, neuroscience, and autoimmunity, as well as steadying their investment in oncology.

Recent Acquisitions

ABBV's recent acquisitions show a desire to broaden their portfolio across differentiated markets; in October 2025, they acquired Gilgamesh Pharmaceuticals' Bretisilocin, an antidepressant drug which is currently in Phase 2 of clinical development. In July 2025, they acquired Capstan Therapeutics for approximately \$2.1B, to boost their cell therapy development and portfolio. Both acquisitions show a commitment to their expansion across markets.

Outlook

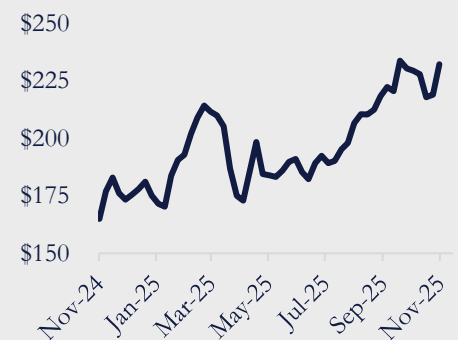
BBR holds a Buy rating for ABBV, with a price target of \$257. ABBV will benefit from stable demand in oncology and autoimmune sectors, as well as increasing demand in the aesthetics and neuroscience markets, while focusing on portfolio growth. They will look to continue their strong revenue growth while maintaining their margins through their diversified portfolio and continued demand for oncology drugs like Skyrizi, as well as in new markets, while remaining cautious of changes in consumer demand in elastic markets.

Stock Rating

Buy

BBR Price Target	\$257.00
Price (12/04/25)	\$227.70
Ticker	ABBV
Exchange	NYSE

52 Week Range \$164.99 – \$227.70



Research Team

Colin Farley
Willis Ryckman
Tyler Knox
Suchnoor Ahuja
Rebekah Campus-Hartman

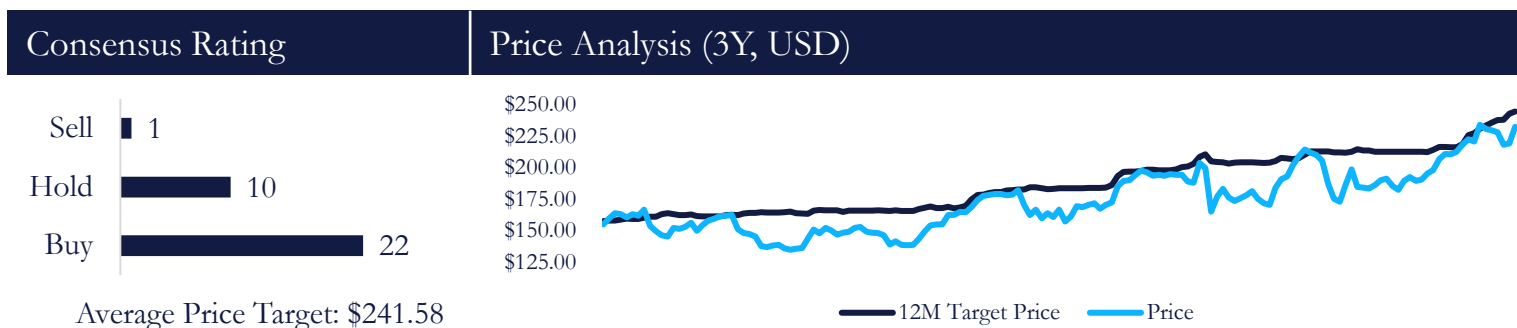
Multiples

	ABBV	Peers
EV/EBITDA	18.80x	13.61x
P/E	96.07x	28.52x
Cash Ratio	0.14x	0.32x

Stock Information

Market Cap. (bn)	\$402.43
Shares Outs. (mm)	1,767.40
Free Float	98.94%
Dividend Yield	3.01%

ALTERNATIVE VALUATIONS



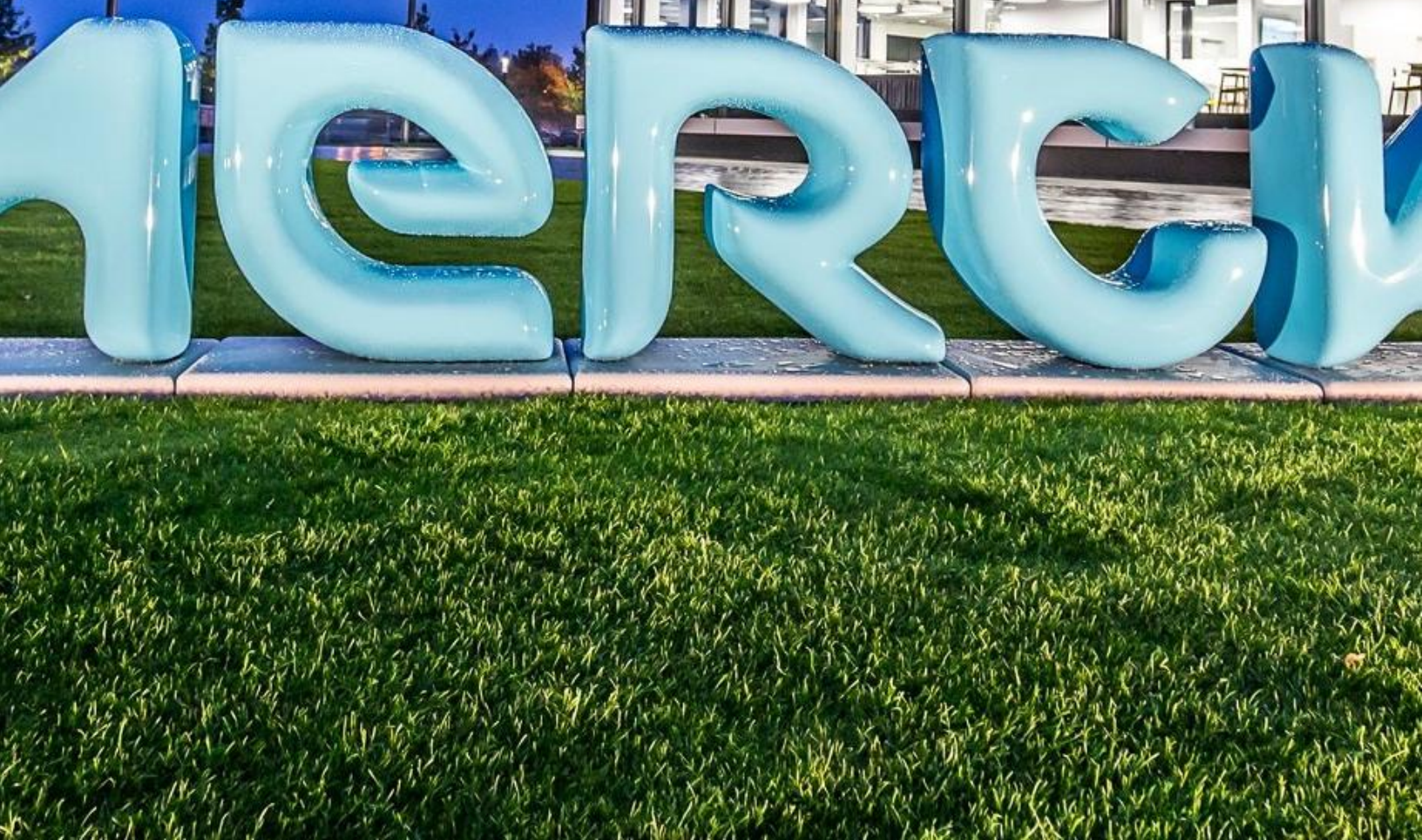
Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Healthcare Coverage	12/04	Buy	\$257.00
EVERCORE	Gavin Clark-Gartner	11/15	Outperform	\$222.00
Deutsche Bank	James Shin	11/10	Hold	\$204.00
Goldman Sachs	Asad Haider	11/03	Neutral	\$223.00
J.P.Morgan	Chris Schott	11/03	Overweight	\$260.00
GUGGENHEIM	Dr Vamil Divan	11/03	Buy	\$223.00
Rothschild & Co	Simon Baker	11/03	Buy	\$258.00
RAYMOND JAMES®	Gary Nachman	10/31	Outperform	\$256.00
Morgan Stanley	Dr Terence Flynn	10/31	Overweight/In-Line	\$261.00

Select Commentary			
J.P. Morgan	Rating: Overweight	Price Target: \$260.00	Research Team:
- Price Target based on growing FCF estimates from increased success of top drugs Skyrizi/Rinvoq, 16x 2026e EPS, \$14.32 Adjusted EPS. - FY2025 Adj. EBITDA forecast to \$25.664bn, up \$249m from prior estimate. - FY2026 Adj. EBITDA forecast to \$33.777bn, up \$610m from prior estimate. - Very optimistic for Skyrizi's sales, being \$90m above Street consensus. - Risks include Skyrizi and/or Rinvoq performing worse than expected, lack of pipeline development, unexpected changes to the US healthcare system, and increased competition or economic headwinds in the aesthetics business.			Chris Schott, CFA Hardik Parikh, CFA Ethan Brown Taylor Hanley



Initiating Coverage:

Merck & Co., Inc. (NYSE:MRK)





MERCK & CO., INC. (NYSE: MRK)

MRK is a U.S.-based multinational pharmaceutical company focused on R&D, manufacturing, and marketing of prescription medicines and vaccines with the goal of saving and improving lives worldwide. Top products span oncology, vaccines, infectious disease, cardio-metabolic disorders, and immunology.

Differentiation and Strategy

MRK differentiates itself in the pharmaceutical industry by combining a broad yet deep portfolio and a clear innovation-driven strategy. Its focus is exemplified by its blockbuster drugs, including cancer immunotherapy from Keytruda, and vaccines such as Gardasil, used to prevent certain cancers and diseases caused by certain types of HPV. MRKs strategy is focused on innovation and increased investments in new product launches and emerging technologies. MRK states that innovation is the single biggest driver of value for patients, customers, and shareholders. As a result, the company continues to strengthen its internal R&D capabilities while actively pursuing external partnerships, licensing agreements, and targeted acquisitions to accelerate development timelines and expand its therapeutic footprint, particularly in oncology, vaccines, and specialty medicine.

Financial Performance

MRK has delivered solid financial results in recent years, supported by strong growth from Keytruda and structural diversification of its businesses. In Q4 2024, global sales grew 7% to \$64.2B USD with Keytruda up 18% to \$29.5B. In Q3 2025, MRK reported worldwide revenues of \$17.3B, up 4% YoY. The company continues to generate strong cash flows, enabling reinvestment into R&D, pipeline expansion, and shareholder returns. While facing headwinds in demand for Gardasil, its diversified product base and recent launches including potential blockbuster Winrevair support performance.

Recent Acquisitions

MRK actively pursues targeted acquisitions to bolster its pipeline and diversify beyond core business. Most recently, it announced the planned acquisition of Cidara Therapeutics, signaling a push into novel infectious-disease platforms. Earlier in 2025, MRK purchased a vaccine facility from WuXi Biologics for \$500M, followed by its \$8.87B acquisition of Verona in July, which expands its portfolio into respiratory medicine through COPD drug OHTUVAYRE.

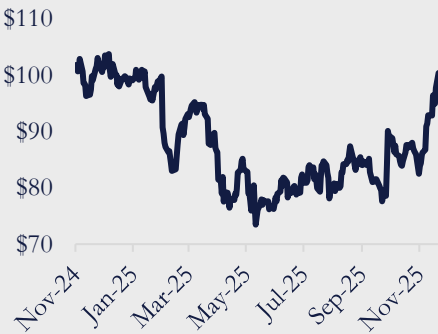
Outlook

BBR's rating for MRK is a Buy, with a price target of \$115.67. MRK's outlook is positive due to its strong pipeline, tailwinds driven by recently approved drugs, and strategic acquisitions. While some concern stems for the upcoming patent expiration of Keytruda in 2028, the company has implemented a multi-year cost-reduction initiative to prepare for the loss of market exclusivity. Despite this, there seems to be rising long-term visibility.

Sources: Merck & Co. 10-k, Bloomberg

Stock Rating	Buy
BBR Price Target	\$115.67
Price (12/2/25)	\$101.03
Ticker	MRK
Exchange	NYSE

52 Week Range \$73.31 – \$105.07



Research Team

Colin Farley
Willis Ryckman
Tyler Knox
Suchnoor Ahuja
Rebekah Campus-Hartman

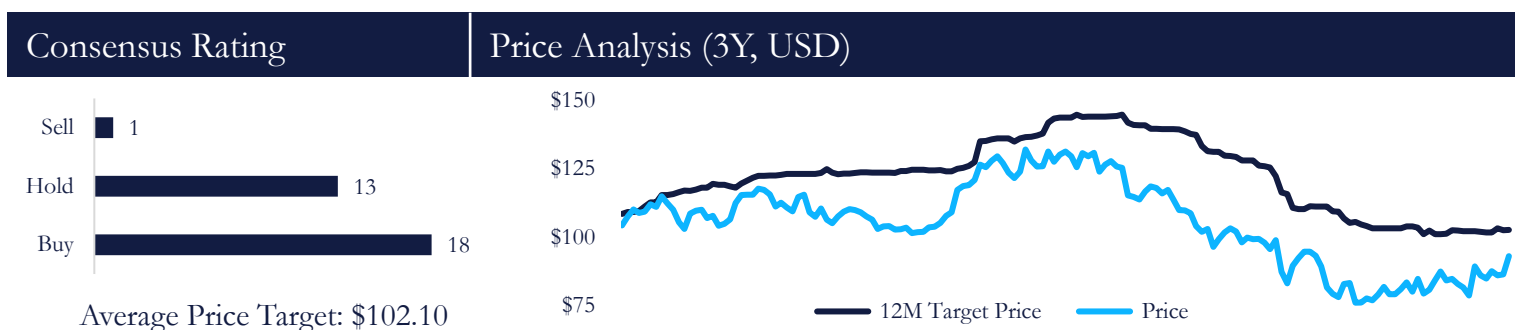
Multiples

	MRK	Peers
EV/EBITDA	8.35x	13.61x
P/E	10.6x	28.52x
Cash Ratio	0.48x	0.32

Stock Information

Market Cap. (bn)	\$249.20
Shares Outs. (mm)	2,487.35
Free Float	99.20%
Dividend Yield	3.32%

ALTERNATIVE VALUATIONS



Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Healthcare Coverage	12/2	Buy	\$115.67
Jefferies	Akash Terwari	11/16	Buy	\$138.00
Morgan Stanley	Dr. Terence Flynn	11/14	Equalweight	\$100.00
citi	Dr. Geoffrey Christopher Meacham	11/14	Neutral	\$95.00
WELLS FARGO	Mohit Bansal	11/14	Equalweight	\$90.00
Rothschild & Co	Steve Chesney	11/12	Buy	\$125.00
Deutsche Bank	James Shin	11/10	Hold	\$110.00
LEERINK	Dr. Daina Graybosch	11/10	Outperform	\$114.00
Goldman Sachs	Asad Haider	10/31	Buy	\$120.00

Select Commentary			
J.P. Morgan	Rating: Overweight	Price Target: \$86.58	Research Team:
- FY guidance remains consistent, with top-line revenue expected at ~\$64.5–\$65.0B and modest upside reflected in revised EPS of ~\$8.93–\$8.98. - Valuation remains balanced at current levels, with shares trading at ~9x 2026E EPS and a favorable risk/reward skew supported by durable core franchises. - Opportunities include accelerated uptake of Winrevair in PAH and continued strength in pulmonary hypertension, though risks remain around adoption hesitancy tied to tolerability, execution of late-stage programs, and external pricing pressures.			Chris Schott, CFA
			Hardik Parikh, CFA
			Ethan Brown
			Taylor Hanley

BBR

BULL & BEAR
RESEARCH

Initiating Coverage:

Pfizer, Inc. (NYSE: PFE)



PFIZER INC.

(NYSE: PFE)

Pfizer Inc. (PFE) is a publicly traded biopharmaceutical company engaged in the research, development, manufacturing, and commercialization of medicines and vaccines worldwide. The company operates a global footprint supported by extensive R&D capabilities and a long history of advancing therapies across major disease areas. Pfizer remains one of the most recognized names in the healthcare industry, with a focus on innovation and public health impact.

Differentiation and Strategy

PFE differentiates itself through its global scale, extensive R&D engine, and strong capabilities in vaccine and antiviral development. Pfizer holds one of the largest clinical pipelines in the industry and continues to prioritize having first-in-class and best-in-class therapies across oncology, immunology, and infectious diseases. Their strategy has focused on rebuilding post-pandemic revenue by accelerating launches from recent acquisitions, expanding their presence in oncology, and leveraging their mRNA and vaccine platforms for long-term growth. They have increasingly emphasized cost discipline, portfolio reshaping, and external partnerships to strengthen innovation while improving operational efficiency.

Financial Performance

PFE's financial performance in recent years has been defined by a sharp normalization in revenues following the unprecedented COVID-19 vaccine and antiviral demand in 2021 and 2022. As pandemic-related sales have declined, their core portfolio has returned to being the primary driver of revenue, supported by steady growth in oncology, vaccines, and hospital products. Pfizer has focused on rebuilding its earnings base through cost reduction initiatives, integrating recent acquisitions, and launching new therapies across immunology and oncology. While margins have compressed from pandemic highs, management has emphasized improving operating leverage and restoring cash flow strength through disciplined capital allocation and productivity programs.

Recent Acquisitions

In December 2023, they completed the acquisition of Seagen for approximately 43 billion dollars, adding a leading portfolio of antibody drug conjugate therapies and a robust oncology development platform. In 2022 and 2023, they also acquired Arena Pharmaceuticals, Global Blood Therapeutics, and Biohaven, which expanded their presence in inflammatory diseases, hemoglobin disorders, and migraine treatment

Outlook

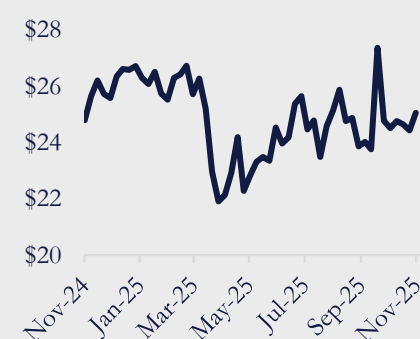
BBR holds its rating for PFE as Neutral with a price target of \$32.62. PFE expects growth to gradually rebuild as COVID related revenue declines are offset by new launches, oncology expansion, and recent acquisitions. The company believes its enlarged oncology and immunology portfolio positions it for more durable growth.

Sources: Pfizer Inc. 10K, Bloomberg

Stock Rating	Neutral
BBR Price Target	\$32.62
Price (11/16/25)	\$25.45
Ticker	PFE
Exchange	NYSE

52 Week Range

\$21.91 – \$59.48



Research Team

Colin Farley

Willis Ryckman

Tyler Knoxx

Suchnoor Ahuja

Rebekah Campus-Hartman

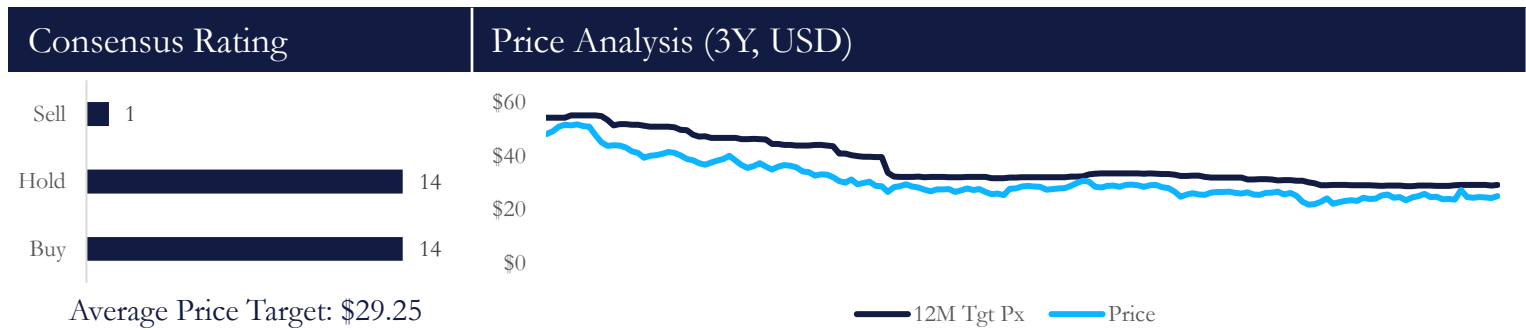
Multiples

	PFE	Peers
EV/EBITDA	5.47x	11.01x
P/E	9.2x	21.50x
Cash Ratio	0.41x	0.32x

Stock Information

Market Cap. (bn)	\$145.87
Shares Outs. (mm)	5,690.00
Free Float	99.82%
Dividend Yield	6.70%

ALTERNATIVE VALUATIONS



Firm	Analyst	Date	Analyst Rating	Price Target
BBR	Healthcare Coverage	11/16	Neutral	\$32.62
Goldman Sachs	Asad Haider	11/5	Neutral	\$26.00
Jefferies	Akash Tewari	11/4	Buy	\$34.00
J.P.Morgan	Christopher T Schott	11/4	Neutral	\$30.00
LEERINK	David R Risinger	11/14	Neutral	\$26.00
Morgan Stanley	Dr Terence Flynn	11/10	Equal Weight	\$30.00
Rothschild & Co	Steve Chesney	11/14	Neutral	\$24.00
Scotiabank	Mohit Bansal	11/13	Outperform	\$30.00
WELLS FARGO	Louise Chen	11/13	Equal Weight	\$32.00

Select Commentary

J.P. Morgan

Rating: Neutral

Price Target: \$30.00

Research Team:

Chris Schott, CFA

Hardik Parikh, CFA

Ethan Brown

Taylor Hanley

- 1Q/3Q results largely in line with expectations, with solid cost management helping offset ongoing post-COVID volume normalization.
- Maintains a range-bound outlook, balancing 2025–2026 EPS ($\approx$ \$2.80–\$3.10) against uncertainty in GLP-1 dynamics/oncology progress/overall visibility.
- Near-term sentiment expected to remain muted until major late-stage readouts.
- Risks include slower-than-expected contributions from new launches, pipeline execution risk, sustained pricing pressure, and macro uncertainty around U.S. healthcare policy.

Team Outlook

Sector Growth

Much of the growth seen in the drug manufacturing industry is due to increased investment in oncology and GLP-1s, which are projected to raise US GDP by anywhere from 0.4%-1% in the next 5-7 years, depending on how many Americans adopt the drug. While top pharmaceutical companies are dealing with impending patent cliffs for top drugs, this hardship is fueling increased M&A activity across the drug pipeline. Furthermore, there is increasing consumer price consciousness, which is fueling the copycat drug market, estimated to grow at a 17.78% CAGR through 2034, to a market of \$176B. Despite the constant threat of copycats to incumbent companies' revenues, there is a positive outlook for the growth of many "big pharma" companies through the rest of the decade.

Stock Market Performance

As healthcare is defensive by nature, it has delivered 1YR, 3YR, and 5YR returns of more than 10% less than the S&P 500. However, significant momentum has been seen from Eli Lilly and Novo Nordisk, who have a lower 3 month, 10% out of the money skew lower than the "Magnificent 7", outside of NVIDIA.

Forward Looking Trends

While the healthcare industry overall is a stable, ever-present industry, the drug manufacturer niche of healthcare presents a relatively high-growth sector. Valuations across the sector have seen some recent compressions due to tariff headwinds, however increased nearshoring by pharmaceutical companies, paired with clarity on tariffs are allowing for stabilizing of valuations, which are continuing to grow for companies that are investing in their AI capabilities such as Novo Nordisk, as well as those who have announced the nearshoring of segments of their supply chain. Overall, the drug manufacturer industry has experienced stable revenues across sectors such as oncology and gene therapy, as well as extreme growth in metabolic and GLP-1 sectors, proving the vertical to presently be a stable yet strong investment opportunity. We are confident in our associated stock recommendations within the drug manufacturing industry and in the overall potential that this niche of the market has as healthcare companies continue to bolster their tech (and particularly AI) investment, as well as their metabolic and oncology-based pipelines to meet consumer demand and public and private investor appetites.

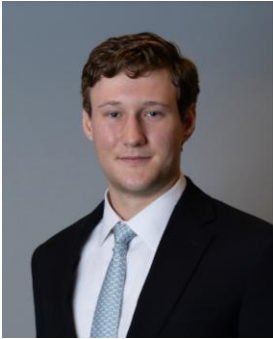


Meet the Team



Colin Farley is a third-year undergraduate Business Administration major with concentrations in Finance and Accounting. Colin brings equity research experience from Putnam Investments and project management experience from State Street. This is Colin's third semester in Bull & Bear Research, and his first as a Director.

For his second co-op, Colin will join Morgan Stanley's Global Capital Markets desk in the New York City office starting January 2026.



Willis Ryckman is a third-year undergraduate Economics and Philosophy major, with a minor in Business Administration. Willis brings experience in capital markets and private investments from his first co-op with State Street Global Markets and a summer internship with Neuberger Berman Private Debt. Outside the office, Willis is a forward for Northeastern Men's Rugby, avid skier, and residential carpenter.

For his second co-op, Willis will join BlackRock's Private Credit Investment Team in the Los Angeles office starting January 2026.



Tyler Knox is a third-year undergraduate Business Administration major with a concentration in Finance and a minor in Data Science. Tyler brings experience from Bain Capital's GP Finance group. This is Tyler's first semester in Bull & Bear Research. Tyler is also co-founding Northeastern's NU Credit Team, a club focused on credit investing across various markets.

For his second co-op, Tyler will join Westcove Partners as an Investment Banking Analyst in Los Angeles starting January 2026.



Suchnoor Ahuja is a second-year undergraduate Business Administration and Mathematics major concentrating in Finance. Such brings private equity experience from Singh Capital Partners and global macroeconomic research experience from Waters Corporation. Such is also a member of the Northeastern International Relations Council, where he competes in Model UN.

For his first co-op, Suchnoor will join BlackRock's Global Infrastructure Partners team as an Investment Analyst in the New York City office starting January 2026.



Rebekah Campus-Hartman is a second-year undergraduate Finance and Political Science major. Rebekah brings experience in investment banking from Wellesley Hills Financial. On campus, she is actively involved in Scholars of Finance and Alpha Kappa Psi, where she is currently serving as VP of Alumni Relations.

For her first co-op, Rebekah will join Bowen Inc. as an Investment Banking Analyst in Boston starting January 2026.